

Integrated Report 2024



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Editorial Policy

In our Integrated Report, we provide information mainly focusing on our business performance, growth strategies, sustainability, governance initiatives, and other matters to investors and various other stakeholders, aiming to communicate and enhance understanding of financial and non-financial data related to the Fujitsu General Group.

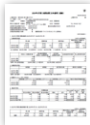
Reporting period	FY2023 (April 1, 2023 to March 31, 2024) Please note that this report also refers to some events that took place before and after this period.
Report target organization	Fujitsu General Limited and its consolidated subsidiaries
Published	December 2024 (Next scheduled: October 2025)
For inquiries	Corporate Communications Office, Sustainability Promotion Division

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Scope of information disclosure

	Website	Booklet or PDF		
Financial Data	IR information page  	Annual Securities Report  	Summaries of financial results  	Integrated report (this document)
Non-financial Data	Sustainability information page  	Sustainability Data Book  		

Forward-looking Statement

This report presents not only the past and current facts about the Fujitsu General Group but also its projections, forecasts, and plans. Such projections, forecasts, and plans are based on the information available to us at the time we prepared this report. All readers are advised to note that results of the Group's business activities and developments may differ from those projections, forecasts, and plans, depending on unforeseeable changes in the business environment and other relevant factors.

Corporate Philosophy

FUJITSU GENERAL Way

The FUJITSU GENERAL Way represents the Fujitsu General Group's core purpose that defines, as a basis for achieving sustainable growth, where our company wants to be, the mission we must fulfill to support customers and society, and the value we offer. It also serves as a guidepost for every employee of the Fujitsu General Group to follow in everything they do at work.

By fulfilling Our Mission in the Corporate Philosophy through our businesses, we will bring comfort, wellness, confidence, and safety to society and pave the way for a brighter future for generations to come.

Structure of the FUJITSU GENERAL Way

The FUJITSU GENERAL Way encompasses the Corporate Philosophy and the Code of Conduct.

FUJITSU GENERAL Way

Corporate Philosophy

Our Mission

It is a declaration of what we, at the Fujitsu General Group, will endeavor to achieve.

"Living together for our future"

Through innovation and technology, we deliver a brighter future with the peace of mind to our customers and societies around the world.

Our Philosophy

It indicates the way we should think and act in order to realize "Our Mission."

Act Spontaneously

We embrace new challenges by investing in ourselves for personal growth, and through continuous creativity with a spontaneous attitude.

Develop Our Team

We respect and value our people, and optimize their abilities through fostering culture and diversity, and utilizing a collaborative effort focused on communication.

Value Integrity

To achieve our goals, we always act with integrity and shared ethics.

Code of Conduct

It defines how every employee of the Fujitsu General Group should act at work.

- We respect human rights.
- We comply with all laws and regulations.
- We act with fairness in our business dealings.

- We protect and respect intellectual property.
- We maintain confidentiality.
- We do not use our position in our organization for personal gain.

■ Message from the Chief Executive Officer (CEO) / Chief Transformation Officer (CTrO)

By "Creating a Life Conditioner," we want to continue protecting "All of LIFE," including the smiles of future children and the environment.

I joined the Fujitsu General Group as Vice President in April 2024 and was appointed CEO in June 2024. Since joining the Company, I have felt the enormous potential of the Fujitsu General Group. I believe that the sincerity ingrained in our employees, as well as the technical expertise we have developed over many years and the trust placed in us by customers around the world count among the important assets of the Company. On the other hand, I recognize that increasing the profitability of this company is our biggest issue. I view increasing profitability and achieving sustainable growth as an important mission for me.

■ Our vision

Our vision



Creating a Life Conditioner

What we strive to support and protect is the comfort of our loved ones and family. Our goal is to promote a sustainable and well-being-focused lifestyle that helps our communities thrive, and maintain our health during extreme weather, such as through intense heat waves and cold spells.

We want to continue protecting "All of LIFE," such as the smiles of future generations and the environment.

Through creating "Air" Conditioners, we are creating "Life" Conditioners.

At the results briefing in October 2024, we introduced our new vision, "Creating a Life Conditioner." By making air conditioners, we will deliver sustainable and well-being-focused lifestyles, thereby creating a "Life Conditioner." We have defined this as our vision for the next Fujitsu General. In the Air Conditioning Business, the Company's specialty, we will develop technologies that contribute to reducing CO₂ emissions, In addition to highly energy-efficient products, and offer value, not just as simple

heating and cooling, but also in the form of well-being, such as health and productivity enhancements. In the Tech Solutions Business, which is related to disasters and disaster prevention, in addition to ensuring safety, we will also create new added value, and expand our support across all aspects of people's lifestyle environments. We will achieve our vision of "Creating a Life Conditioner" by utilizing Fujitsu General's strengths, i.e. "monozukuri" power that has enabled us to create world and industry firsts; "technology" power such as heat pumps, inverters, and communications; and "global channels" in more than 100 countries around the world.



■ Message from the Chief Executive Officer (CEO) / Chief Transformation Officer (CTrO), cont.

■ Positioning of FY2024

As we look to achieve our vision, it is important that we implement measures to achieve high levels of profitability, as I mentioned in the beginning. As the first step, in October 2024, we rearranged our internal structure.

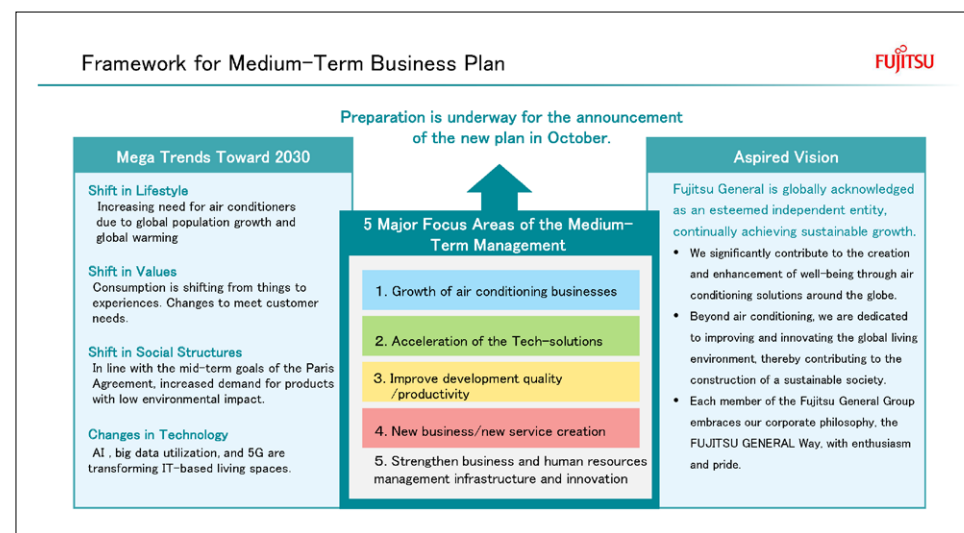
Specifically, we consolidated multiple business lines in two businesses: “Air Conditioning business” and “Tech Solutions business.” Under this structure, Vice President Kawanishi, Head of the Air Conditioner Business, and Vice President Hasegawa, Head of the Tech Solutions Business, will be solely responsible for their respective businesses as a whole and profitability, and will also lead transformation in each business as Transformation Officers (TrO). Also, we have appointed “TrO” members as follows to support mindset reform among all employees: management foundations (Corporate Senior Executive Vice President Ohkawara), business foundations (Corporate Senior Executive Vice President Arikado), and human resource strategy (Corporate Senior Vice President Nakagawa). Under this system, as Chief Transformation Officer (CTrO), I will be responsible for transformation of the Fujitsu General Group as a whole.

Additionally, in order to establish high levels of profitability under the new structure, we have created major cross-divisional projects across the Group as a whole, including overseas operations. We will make thorough efforts to identify issues, and explore and implement countermeasures in response.

On the other hand, in order to ensure high profitability in the future, there are various issues that we must solve in 2024. Accordingly, we recorded strategic expenses associated with losses, etc., as a lump sum in our financial results for the first six months of the fiscal year, announced in October 2024. This is also our preparation to make dramatic progress from the next fiscal year onward.



■ Future framework and priority issues



As explained in our vision, we will leverage air conditioners as a foundation to achieve well-being, while also going beyond that to play the role of a Life Conditioner. We will ensure that each and every member of the Fujitsu General Group shares this mindset, and create the foundations for achieving a highly profitable structure and ensuring future growth.

As priority measures to achieve this, Fujitsu General will focus on primarily on “1. Promoting growth in the Air Conditioning Business” and “2. Accelerating Tech Solutions.” We will make concerted efforts in these areas, while selecting and concentrating our strategies. Next, it will also be extremely important that we implement “3. Development and production reform” to achieve these targets. I believe that promoting local production will be a particularly important priority measure, and we will work to create a production structure as soon as possible. We will use these efforts as the foundation for “4. Taking on the challenge of offering new added value,” which will be the final form of our completed Life Conditioner. “5. Management foundations / human resource organization strengthening” will provide the management foundations to execute these initiatives, and will be a transformation of ourselves, the most important area of all.

By promoting these priority measures, we will transform ourselves into a highly profitable company, while also working to achieve our vision. We sincerely ask for the continued support of our stakeholders.

The Process of Value Creation

Achieve the Fujitsu General Group Corporate Philosophy “Living together for our future”

Input

Strengths of Fujitsu General



Monozukuri (manufacturing)

Creation of world and industry firsts



Technology

Heat pumps / inverters, Communication technology



Global Channels

Expansion to over 100 countries worldwide

Output

Sustainable Products and Services

Air Conditioning Ecology

- Reduction of Product CO₂ emissions
- Energy efficiency monitoring / consultation
- Resource circulation business

Air Conditioning Service Solutions

- Energy management platform
- Air conditioning lifecycle support



Well-Being Solutions

- Pursuit of comfort for health
- Air quality monitoring systems

Disaster Prevention Solutions

- Utilization of drones for firefighting
- Digital transformation of firefighting/ disaster prevention systems
- Infection Prevention

Outcome

Creating a Life Conditioner

What we strive to support and protect is the comfort of our loved ones and family. Our goal is to promote a sustainable and well-being-focused lifestyle that helps our communities thrive, and maintain our health during extreme weather, such as through intense heat waves and cold spells.



History of Value Creation

Progress of innovative monozukuri (manufacturing)

In the Corporate Philosophy of the Fujitsu General Group, we set forth our intention, “- Living together for our future - Through innovation and technology, we deliver a brighter future with the peace of mind to our customers and societies around the world.” To date, we have created many world-first advanced products and technologies, and have progressed and grown alongside our customers and society. And we will keep on, as a member of global society, aiming to be a company that delivers innovative objects, things, and services to support happy day-to-day lives for people around the world, and we will live into the future together with people around the world by creating a comfortable, healthy, secure, and safe society while focusing on people's lives beyond that point.

○ Founding



○ Japan first: Supplied domestically produced TV studio Sub control room equipment to Nippon Hoso Kyokai (NHK)

○ Japan first: Developed a method to erase the horizontal blanking of TV

○ Industry first: Began production of split cooler with a built-in ventilator

○ World first: Developed an electronic cash register



1960s

○ Japan first: Supplied transistor type film camera equipment to Nippon Hoso Kyokai (NHK)

1970s

1980s

○ World first: Began sales of refrigerator-freezers equipped with frost-free rapid refrigeration equipment based on the heat pipe principle



1990s

○ Industry first: Developed touch screen type firefighting emergency command systems

2000s

○ World first: Developed axial gap-type fan motors for use in air conditioners



2010s

○ World first: Began sales of air conditioners equipped with dual blasters, enabling a new comfort from two types of air flow



○ Industry first: Began sales of air conditioners that use high-temperature heating to disinfect heat exchangers

○ Began sales of wearable air conditioners (Cómodo gear)



2020s

○ Japan first: Introduced “digital fire-fighting emergency radio (SCPC method) systems” at fire department

○ Developed a new technology (SIAFOLS) for disaster prevention wireless broadcasts that is easy to hear and understand even in heavy rain or loud noise

Main activities for innovative monozukuri (manufacturing) in 2020s

□ Development of Cómodo gear wearable air conditioners for people working in very hot environments (for Japanese market)

As climate change has caused the heat of summer to become increasingly fierce, we have developed “Cómodo gear” wearable air conditioners for people in industries that perform work outdoors or in environments without air conditioning, to cool the carotid artery by wearing them around the neck and increase comfort and working efficiency.

□ Joint development of multi-positional whole-house air conditioners (for North American market)

The Company and our strategic partner Rheem jointly developed multi-positional whole-house air conditioners with a compact outdoor unit together with high volume and industry-leading energy-efficient performance, by combining the technologies of both companies.

□ Jointly developed a new technology for disaster prevention wireless broadcasts that is easy to hear and understand even in heavy rain or loud noise with Kobe University (for Japanese market)

We make evacuation information, etc., easier to hear and understand, and thus contribute to ensuring the safety of local residents, through the development of new “SIAFOLS” technology, for reliably transmitting disaster prevention administrative wireless broadcasts through the application of an emphasis algorithm to match changes in seasons, weather, etc.

□ Conversion of TCFG into a wholly owned subsidiary (Thailand)

As part of our efforts to strengthen the foundations of the Air Conditioning Business, we acquired additional shares of TCFG Compressor (Thailand) Co., Ltd., an affiliate accounted for by the equity method that manufactures and sells compressors, and converted it into a wholly owned subsidiary.



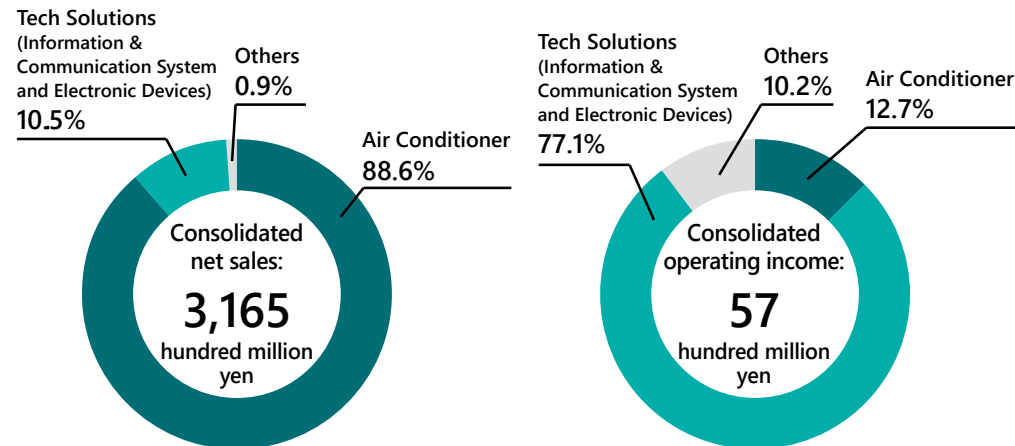
At a Glance (FY2023 Results)

Business progress and results

In the consolidated fiscal year under review, Air Conditioner net sales to the Japanese market increased, and Information & Communication System increased, but Air Conditioner sales to overseas markets decreased significantly. As a result, consolidated net sales amounted to 316,476 million yen (-14.7% YoY).

With regard to profits, despite an improvement in the cost environment, including the progression of cost reductions and a decrease in material prices, performance was significantly impacted by lower sales from restrictions on Air Conditioner shipments to overseas markets aimed at lowering dealer inventories. As a result, operating income amounted to 5,747 million yen (-61.9% YoY). Ordinary income was 14,375 million yen (-17.5% YoY) owing to the recording of foreign exchange gains associated with the weaker yen and other changes in foreign exchange rates. Profit attributable to owners of the parent was 3,067 million yen (-64.7% YoY), partly owing to the recording of losses related to the Antimonopoly Act, etc., as extraordinary losses.

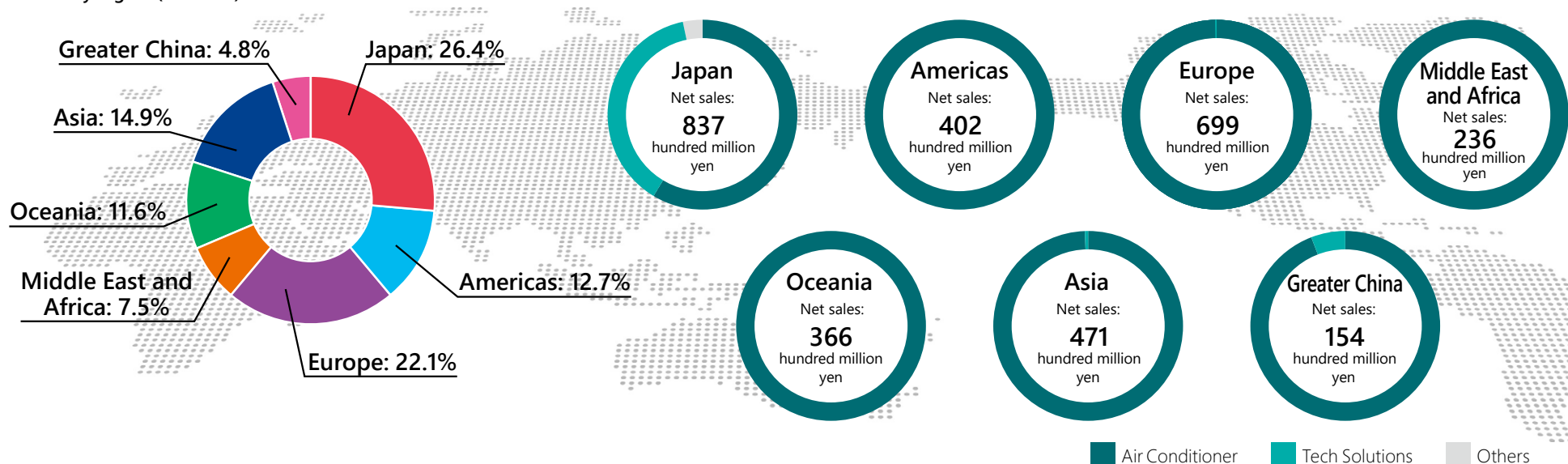
Breakdown by segment



Other information

- Ordinary income
144 hundred million yen
- Profit net income to parent corporation stockholder
31 hundred million yen
- Total assets
2,756 hundred million yen
- Equity capital
1,387 hundred million yen
- Shareholder's equity ratio
50.3%

Breakdown by region (net sales)



Business

9. Fujitsu General Group Businesses

10. Air Conditioner Business (Results and Plans)

11. Tech Solutions Business (Results and Plans)



Fujitsu General Group Businesses

Reorganization of business lines to achieve high profitability

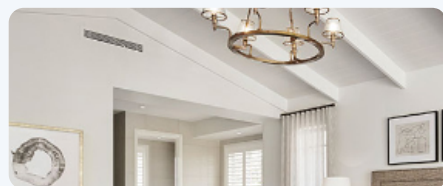
In order to achieve a structure with high profitability, in October 2024, we consolidated our business lines into two businesses: the "Air conditioner Business" and "Tech Solutions Business."

Air Conditioner Business

Residential Air Conditioners (wall-mounted, floor-mounted)



Residential Air Conditioners (ceiling cassette, ducts)



Multi air conditioners for large buildings (VRF)



Air-to-Water (hot water heating systems by heat pump)



Unitary air conditioners (duct-type whole-house air conditioners)



Service solutions

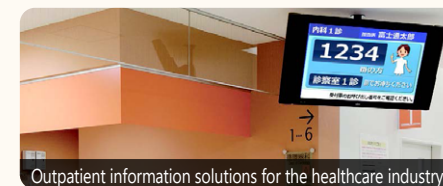


Tech Solutions Business

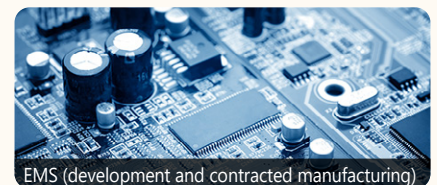
Information & Communication System (firefighting and disaster prevention)



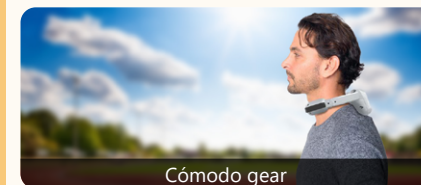
Information & Communication System (private demand systems)



Electronic Devices



New businesses



■ Air Conditioner Business [FY2023 results]

■ FY2023 results

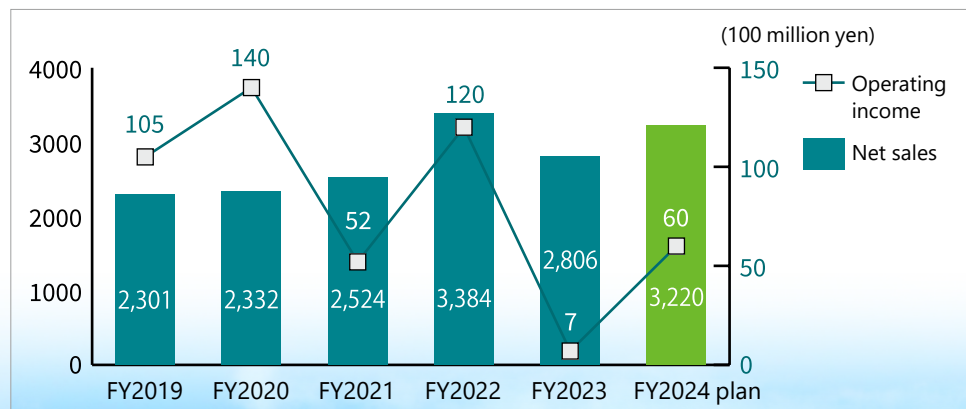
In the domestic room air conditioner market in Japan, the number of units shipped was lower than in the previous fiscal year across the industry, owing to a fallback from the high levels of the previous fiscal year, rising prices, changes in consumer behavior, and other factors, despite record heat during the summer. At Fujitsu General, shipments normalized during the fiscal year under review, in contrast to the previous fiscal year, when shipments were down significantly owing to lockdowns in Shanghai. As a result, sales recovered, mainly for the housing equipment route, particularly for highly energy-efficient units, and we also focused on improving sales prices, resulting in higher sales. Overseas, sales were down compared with the previous fiscal year, owing partly to lower sales of Air-to-Water (hot water heating systems by heat pump) to the European market, as well as the significant effect of strong shipments to the Middle East and North American markets in the previous fiscal year. Additionally, despite significant progress in shipping backorders that arose in the previous fiscal year due to supply delays in line with the normalization of the supply chain, additional orders from sales distributors, etc., were decreased owing to the elimination of concerns about product supply, and dealer inventories were high because of slow demand in each region and other factors. As a result, the elimination of local inventories in North America and elsewhere took longer than initially expected. Under these conditions, we limited shipments and prioritized the promotion of local sales.

Net sales:

2,806 hundred million yen

Japan: 491 hundred million yen	Americas: 402 hundred million yen	Europe: 698 hundred million yen
Middle East and Africa: 236 hundred million yen	Oceania: 366 hundred million yen	Asia: 468 hundred million yen
Greater China: 145 hundred million yen		

■ Business performance (Air Conditioner Business)



■ [FY2024 plan]

■ Air Conditioner Business net sales (FY2024 plan)

Increase in sales (3,220 hundred million yen, +414 hundred million yen, +12% YoY on local currency basis)

- In Japan, we expect higher sales, based on fierce heat nationwide during the peak demand season, as well as our expectation of strong sales for the housing equipment route.
- We are planning to increase our revenue in North America. This is due to the fact that last year we were focused on reducing inventory, which limited shipments, but this year we expect sales of room air conditioners to recover, and a temporary increase in demand before stricter environmental regulations in the United States will also have an impact.
- In Europe, we expect lower sales, owing partly to lower sales of room air conditioners caused by unseasonal weather in the first half of the year, as well as high dealer inventories of Air-to-Water (hot water heating systems by heat pump).
- In the Middle East and Africa, we expect higher sales, as a result of supplying major projects in the first half of the year, and other factors.
- In Oceania, we expect an increase in sales of ducted air conditioning units due to the strengthening of our product lineup, and we also anticipate steady sales in our solutions business, leading to plans for increased revenue.
- In Asia, room air conditioner sales are increasing thanks to strong demand caused by fierce heat in the first half period in our mainstay market, India. We also expect good progress on solution projects, leading to plans for increased revenue.

	FY2024 plan	YoY	YoY (percentage change)
Air Conditioner Business as a whole	3,220 hundred million yen	414 hundred million yen	15%
Japan	500 hundred million yen	9 hundred million yen	2%
Americas	550 hundred million yen	148 hundred million yen	37%
Europe	680 hundred million yen	-18 hundred million yen	-3%
Middle East and Africa	340 hundred million yen	104 hundred million yen	44%
Oceania	450 hundred million yen	84 hundred million yen	23%
Asia	560 hundred million yen	92 hundred million yen	20%
Greater China	140 hundred million yen	-5 hundred million yen	-3%

■ Air Conditioner Business operating income (FY2024 plan)

Increase in profit (60 hundred million yen, +53 hundred million yen, 7.2x)

- We expect higher expenses associated with efforts to strengthen our business, and the outlook for materials prices and foreign exchange rates is unclear, but we expect higher profits from increased sales due to efforts to expand sales, as well as the promotion of overall measures to reduce costs.

Tech Solutions Business [FY2023 results]

FY2023 results (Information & Communication System)

Net sales were ¥20,951 million (+54.9% YoY).

In public systems, the number of projects under discussion has been increasing, particularly for firefighting command systems and firefighting wireless systems, amid the full-fledged move toward wide-area and jointly operated firefighting and subsidies for infrastructure projects for disaster prevention and mitigation. Additionally, the supply of previously ordered systems has progressed smoothly, and sales of private-sector systems have also risen, resulting in an overall increase in sales. Also, there has been a steady influx of orders for projects to be supplied next fiscal year.

Net sales:
209 hundred million yen

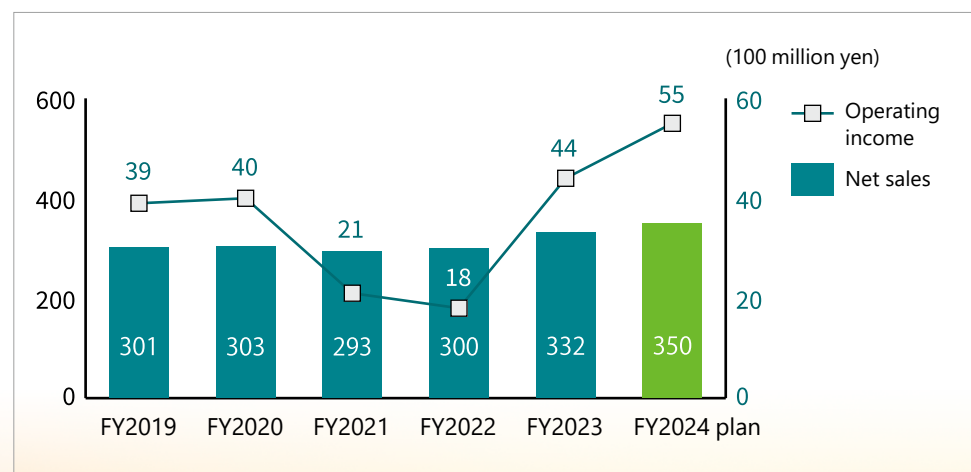
FY2023 results (Electronic Devices)

Net sales were ¥12,254 million (-25.3% YoY).

Although sales of in-vehicle cameras exceeded the previous fiscal year as automotive production recovered, net sales fell as weak capex in China resulted in lower sales in the industrial robot electronic component and unit manufacturing sector.

Net sales:
123 hundred million yen

Business performance (Tech Solutions Business)



*The reportable segment "Information & Communication System and Electronic Devices" was changed to the "Tech Solutions Business" from October 1, 2024.

[FY2024 plan]

Tech Solutions Business net sales (FY2024 plan)

Increase in sales (3,000 hundred million yen, +194 hundred million yen, +11% YoY on local currency basis)

- In Information & Communication System, we plan for higher sales based on our expectation of good progress on supplying previously ordered systems, amid an increase in the number of projects under discussion, particularly firefighting command systems and firefighting wireless systems.
- In Electronic Devices, we expect lower sales, based on our view that sales will fall as a result of weak capex in China in the industrial robot electronic component and unit manufacturing sector, as well as lower sales of in-vehicle cameras.

	FY2024 plan	YoY	YoY (percentage change)
Tech Solutions Business as a whole	350 hundred million yen	18 hundred million yen	5%
Information & Communication System	255 hundred million yen	46 hundred million yen	22%
Electronic Devices	95 hundred million yen	-28 hundred million yen	-22%

Tech Solutions Business operating income (FY2024 plan)

Increase in profit (55 hundred million yen, +11 hundred million yen, +24%)



*In line with a change in segments, the name "Tech Solutions Business" has been used, but as the impact is currently being calculated, only the name has been changed, and figures for the existing "Information & Communication System and Electronic Devices Business" have been provided for the FY2024 plan.

Sustainable

13. Sustainability Positioning /
Connections Between Business Activities
and Sustainability

14. Promotion of Sustainability /
Identification of Materiality

15. Materiality

16. Human Resource Management

17. Special Feature (1) Carbon Neutrality

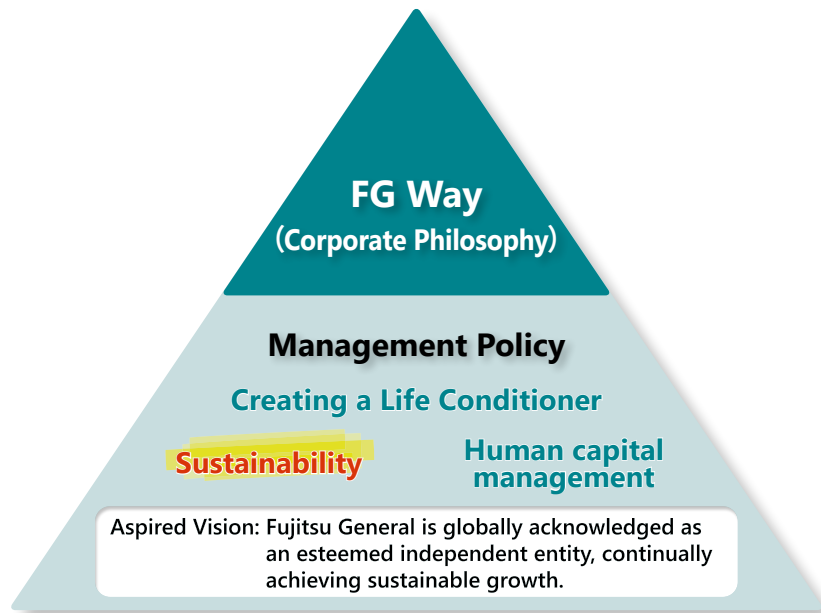
18. Special Feature (2) Human Rights



Sustainability Positioning

Sustainability positioning in the Fujitsu General Group

At the Fujitsu General Group, our 'Management Policy' and 'Management Strategy' are developed based on the concept of "Living Together for Our Future," which is the vision outlined in our Corporate Philosophy. Achieving these objectives directly contributes to the 'realization of a sustainable society' and 'solutions to social issues.' In this way, we do not view our core business and sustainability activities as separate. Instead, we position sustainability so that the business activities of every individual become part of our sustainable initiatives.



Company-wide dissemination initiatives

To ensure that all employees can take ownership of sustainable activities, we share examples of initiatives internally and use educational content to enhance understanding and familiarity with these activities. This fosters new awareness among employees and, by recognizing sustainable actions and achievements, we aim to inspire them and enhance their motivation.

Connections Between Business Activities and Sustainability

The vision we aim to achieve through our businesses

- A state where we are contributing to the creation and enhancement of well-being from the perspective of air condition around the world
- A state where we are improving and reforming living environments around the world, beyond air conditioning, and thus contributing to the creation of a sustainable society
- A state where each and every member of the Fujitsu General Group puts our Corporate Philosophy into practice with a smile

Business activities that contribute to the creation and enhancement of well-being, and our contribution to the creation of a sustainable society

- ☐ Our vision for business creation and sales expansion
 - Air conditioning ecology (product CO₂ emissions reduction, energy efficiency monitoring/consultation, resource circulation business)
 - Air conditioner service solutions (energy management platform, air conditioner lifecycle support)
 - Well-being solutions (pursuit of comfort linked to health, air quality monitoring systems)
 - Disaster prevention solutions (utilization of drones for firefighting, firefighting/disaster prevention system DX, infectious disease prevention)
- ☐ Achieve carbon neutrality
 - Conversion to modules with low GWP refrigerants
 - Pursuit of energy efficiency for products
 - Energy cost reduction in business activities, etc.
- ☐ Transition to circular economy
 - Use of recycled materials, promoting elimination of plastics for packaging materials
 - Promote resource-saving design
 - Reduce waste generation from production, etc.
- ☐ Response to environmental regulations and thorough compliance with laws and regulations



Implementation of Corporate Philosophy and sustainability

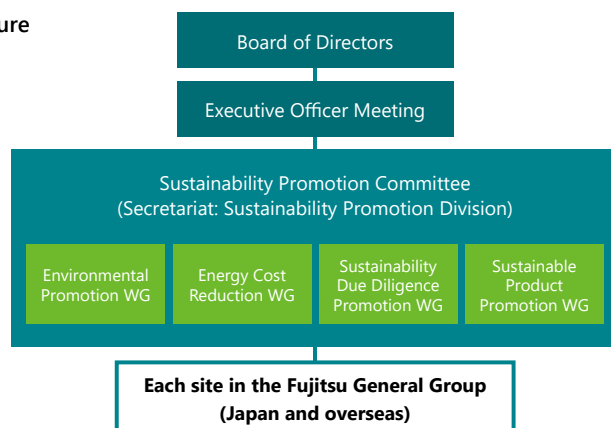
- ☐ Promotion of the Corporate Philosophy and cultivation of a corporate culture
- ☐ Development of systems for complaints processing and human rights aid mechanisms
- ☐ Measures to prevent and address corruption, etc., and mechanisms to discover it in advance
- ☐ Promotion of Health and Productivity Management
- ☐ Stronger information security systems
- ☐ Promotion of sustainability due diligence (mitigation of risks related to human rights, occupational safety, the environment, etc.)

Promotion of Sustainability

Sustainability promotion structure

In Fujitsu General Group, the President is appointed Chief Sustainability Officer (CSuO), and works to promote sustainability.

Moreover, the Sustainability Promotion Committee deliberates plans, progress, and issues related to sustainability.



Three Core Strategic Themes

In order to promote sustainability activities, we are implementing measures based on three pillars: Harmonious Coexistence with Our Planet (Planet), Social Contribution (Society), and Care for Employees (Our People).



Identification of Materiality

Materiality

The Fujitsu General Group identifies materiality to promote sustainability activities and pursues business activities to realize a sustainable society.

In identifying materiality, we extracted issues in light of our Group's Corporate Philosophy and Management Policies, considering international guidelines such as SDGs and the GRI Standards as well as the results of various surveys conducted by external research organizations. The extracted issues are then classified and organized across two axes: "Stakeholder interest & impact" and "Significance to the Group." More material issues are designated as Core Strategic Themes.

Materiality Identification Process

Step1: Extract social issues
Extract issues from stakeholders' perspectives based on GRI Standards, etc.

Step2: Extract issues to be addressed by the Group
Extract priority issues for the Group based on the Corporate Philosophy, Management Policy, etc.

Step3: Identify materiality
Sort out stakeholder interest & impact and significance to the Group are organized to identify our Materiality.

Materiality Matrix

		Thorough Compliance and Governance, Respect for Human Rights		
Stakeholder interest & impact	Necessary	◇ Management of Chemical Substances	◇ Efficient Use of Natural Resources ◇ Reduction of Energy Consumption, Waste, and Water Consumption ◇ Air Pollution Control ◇ Supply Chain Management	◇ Climate change countermeasures ◇ Product Safety and Reliability
	Extremely high	◇ Biodiversity Conservation	◇ Stakeholder Engagement	◇ Diversity ◇ Health and Productivity Management & Occupational Health and Safety ◇ New Value Creation
	Very high		◇ Information Security ◇ Community Contribution	◇ Talent Development
	High			
		Significance to the Group		
		High	Very high	Extremely high

Materiality

* The SDGs icons listed here are SDG targets that the Company believes it can contribute to through its activities.

Classification of Activity Content		Key Initiatives	KPI (Key Performance Indicator)	SDGs
Harmonious Coexistence with Our Planet		Action Against Climate Change, Reduction of Energy	Reduce CO ₂ emissions from products during their use	7  13 
			Reduce CO ₂ emissions across business activities	
		Efficient Use of Natural Resources	Promote resource-saving design	8  12 
			Reduce material waste from production	
		Prevent air pollution	Reduce air pollutant emissions	12 
Social Contribution	Customer Relations	New Value Creation	Reduce water usage	6  17  8  12  14 
			Reduce waste generation	
		Delivery of Products that Meet Consumers' Expectations	Water use reduction rate	7  9 
			Reduction rate of total waste generated	
		Improvement of Communication with Consumers	Conduct research and development projects that address social issues	9  11 
	Community Relations	Coexistence with Local Communities	Offer products that address social issues	
			Endeavor to improve quality	
			Improve the satisfaction of customers served by the call center	
	Supplier Relations	Approach to Our Suppliers	Supporting the growth of the next generation	
			Promote community coexistence	
			Implementation of welfare support	
Care for Employees		Develop Talented Personnel Willing to Take on New Challenges	Promote CSR procurement	1  3  5  8  10  12  16 
			Number of regional corporations audited	
			Hold dialogue with shareholders and investors	
		Raise Health Awareness and Create a Workplace for the Good Life	Share company information with shareholders and investors	4 
			Introduce a system that encourages employees to take on new challenges spontaneously	
			Providing training opportunities for employees	
			Promote mental health	
			Implement measures to prevent lifestyle-related illness	
			Reduce second-hand smoke exposure and encourage smokers to quit	
		Create a Workplace where Employees Can Work Flexibly with Diversity	Help employees maintain a healthy diet	2  3 
			Promote understanding of health specific to women	
			Help employees continue to work while receiving medical treatment	
			Promote diversity & inclusion in the workplace	
			Number of newly promoted female managers and leaders	
			Percentage and number of days of childcare leave taken by full-time male employees	
Governance	Respect for Human Rights	Promote human rights awareness	Help employees maintain a good work-life balance	1  5  8 
			Hold dialogue with the labor union	
	Thorough Compliance and Governance	Provide compliance training to employees	Take action against human rights violations	8  16 

Human Resource Management

Support for voluntary career development and learning

We believe the role of employee development and education is extremely significant for ensuring sustainable growth for the Fujitsu General Group.

We have clarified the “roles required of each level” and we expect employees to take on new challenges on their own initiative to fulfill those roles. Additionally, we promote the development of an environment that supports the “voluntary career development” and “learning” of employees.

Employee education system

Domestic (career ownership)

In training for each level of employee, we enable employees to acquire the knowledge and skills necessary to fulfill their required roles. At the same time, we also encourage career autonomy through “career ownership” through which employees take control of their own careers, including envisioning their “aspirations, visions, and dreams (the future they want for themselves). For managerial roles, we also provide training to make managers aware of supporting the realization of their subordinates’ careers and help them acquire specific methods for doing so.

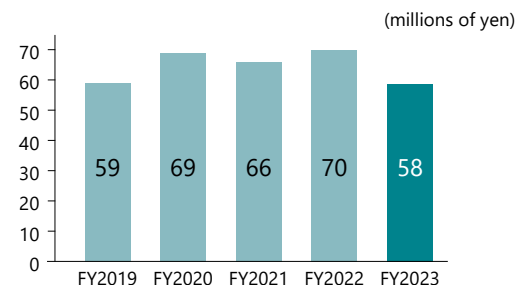
Overseas (development of engineers)

To enable the excellent local engineers working at the Fujitsu General Group’s overseas sites (Thailand and Shanghai) to become human resources capable of leading local sites in the future, we conduct on-the-job training at our Kawasaki Headquarters over two to three years.

Employee training system

To offer opportunities to support the initiative and growth of all employees, we have compiled our on-demand educational content and created a “learning portal website” that supports self-directed learning by each and every employee, by enabling them to select learning content that suits their objective, check their learning history, etc.

Annual training expense



We have created a system where employees can participate in individually focused education, as much as they want, whenever they want, including basic knowledge, particularly related to business, information necessary for active participation in a global environment, and practical business skills.

Employee appraisal system

We have created a personnel system aimed at clarifying roles at each grade, and inspiring employees to voluntarily take on new challenges for more advanced roles and contributions, while also basing appraisals on results achieved, reducing age-related factors, and focusing on roles. Appraisals are conducted through interviews, in ways that contribute to individual growth.

Promoting women's activities

As part of our promotion of diversity, equity, and inclusion, Fujitsu General Group is working on creating an organizational culture in which all employees can play an active role regardless of gender. In particular, we are focusing on the active participation of women.

We believe that the success of women is indispensable for the growth of the company and the creation of innovation. In order to eliminate any situation in which gender is a barrier, we have conducted interviews at workplaces and with women themselves to ascertain the reality, conducted improvement measures, held roundtable discussions with female External Directors, and conducted training for mid-level women employees. Currently, in line with our new action plan, we are actively promoting motivated and capable women in order to enhance the empowerment of female employees.



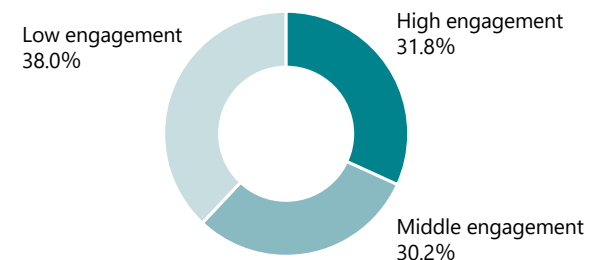
Employee engagement

We aim to increase engagement based on our ideal of a state where a mutual relationship of trust has been created between employees and our Company, and employees feel joy and fulfillment in contributing in the space called “company” while also experiencing their growth and a sense of self-efficacy through their work at our Company.

In the second engagement survey conducted in July 2023, we found that although organizational commitment (an indicator that shows the appetite to work for a company or organization) was somewhat higher than

the national average, work engagement (an indicator that shows a psychological state of positivity and fulfillment toward one’s work) was somewhat lower than the national average.

Second employee engagement survey results



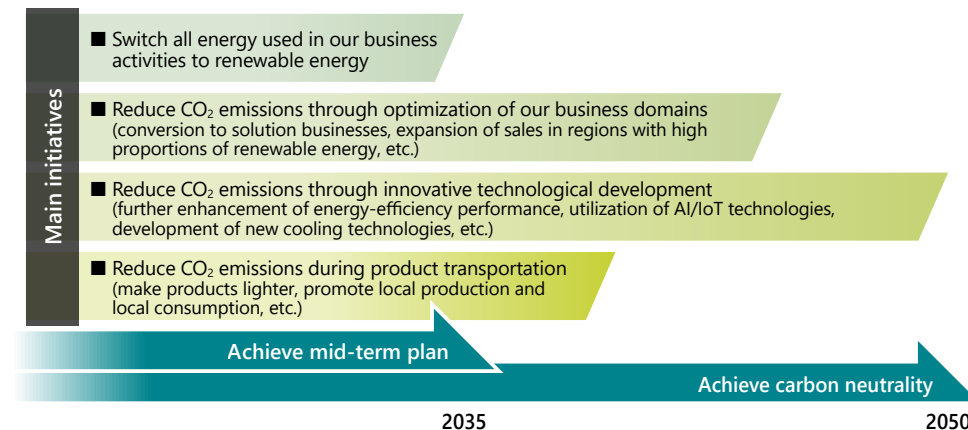
Special Feature (1) Carbon Neutrality

Revisions to medium- to long-term environmental targets (August 2023)

In 2016, we formulated our “Mid-term Environmental Action Plan,” with FY2030 as the final target year, and made significant revisions to this plan in March 2021 and April 2022. However, in light of UN COP27 recommendations, Japanese government targets, and recent social trends, following a resolution at a meeting of our Board of Directors held in August 2023, we have now set new long-term targets with FY2050 as the target year, and have revised our medium-term targets in anticipation of achieving our long-term targets. All employees share targets to be achieved over the medium to long term, and we aim to balance the reduction of our environmental impact and the enhancement of corporate value while contributing to achieving the Sustainable Development Goals (SDGs).

Medium- to Long-term Environmental Targets – value chain as a whole (Scope 1, 2, and 3) –				
	Target			Initiatives
Long term	Achieve carbon neutrality	Target fiscal year	FY2050	[Scope1] Switch entirely to renewable energy even for other energy than electricity [Scope2] Switch electricity in our business activities to renewable energy [Scope3] (1) Reduce material consumption and product weight reduction (2) Enhance energy efficiency (3) Improve product transportation efficiency, etc.
		Target	Carbon neutrality	
Medium term	Reduction of greenhouse gas emissions	Target fiscal year	FY2035	
		Target	55% reduction	
		Base fiscal year	FY2021	

Initiatives to achieve carbon neutrality



Switching electricity to renewable energy

As one initiative to reduce greenhouse gas emissions, in April 2022, we converted all electric power used in our business activities to renewable energy. As a result, we have achieved net zero greenhouse gas emissions for electric power used at all our sites* around the world.

*Excluding some leased properties

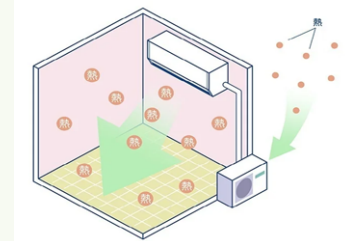


Initiatives to contribute to reducing CO₂ emissions

Mitigation of climate change with heat pump technology

One notable characteristic of heat pump heating is that it does not “create” new heat but instead “collects and moves” heat that already exists.

With devices such as electric heaters, which convert electricity into heat, and oil heaters, which create heat by burning fossil fuels, a maximum of only “heat equivalent to one unit of energy” can be obtained from “one unit of energy.” However, with heat pump heating, it is possible to collect from outdoors “up to approximately heat equivalent to five units of energy” with “one unit of energy” and transport it indoors.



In this way, we promote the spread of heat pump equipment that can produce significant effects with small amounts of energy, is highly effective in reducing greenhouse gases, and is friendly to the environment. Through our efforts, we contribute to the realization of a sustainable society by “changing the world’s heating culture.”

Offering products that utilize heat pumps

Air-to-Water (hot water heating systems by heat pump)

The main appliances on the European heating market are used fossil-fueled. Those are radiators and central heating systems using hot water, such as underfloor heating. Switching to high-efficiency ATW will contribute to limiting greenhouse gas emissions.

Air conditioners for cold regions

There is growing demand for air conditioners for cold regions that can achieve high levels of heating performance even when outside temperatures are low. This is because of factors such as the high airtightness and good insulation of homes, the safety of not performing combustion, and increasing demand for cooling in the summer. Fujitsu General offers air conditioners for cold regions in Japan and North America with stronger heating capabilities suited for such regions.

Special Feature (2) Human Rights

Basic Approach to Human Rights

The FUJITSU GENERAL Way is a corporate philosophy that represents the shared values of the Fujitsu General Group. The first item of the Code of Conduct states, "We respect human rights." This clearly states the company's stance that "in all corporate activities, the spirit of 'respect for human rights' shall be the foundation of our activities."

Our group aims for all employees to demonstrate the spirit of respect for human rights through their actions. We believe it is important to correctly recognize and understand human rights issues, learn the spirit and sense of respect for human rights, and act with the awareness of 'not tolerating acts of human rights violations such as discrimination.

Establishment of Human Rights Policy

The Human Rights Policy of the Fujitsu General Group supports and respects the following international principles and standards.

"International Bill of Human Rights," "Guiding Principles on Business and Human Rights,"
 "ILO Declaration on Fundamental Principles and Rights at Work,"
 "National Action Plan on Business and Human Rights," "United Nations Global Compact,"
 "Convention on the Rights of the Child," "Children's Rights and Business Principles"



For the full text of our Human Rights Policy, please refer to the Fujitsu General website.
 Human Rights Policy
<https://www.fujitsu-general.com/global/csr/human-rights-policy.html>



Internal education related to human rights

Human rights training

Together with "Human Rights Week" and "World Human Rights Day," we also conduct training related to "human rights" every year, to provide an opportunity for employees to "take ownership" of human rights problems and act on them. In FY2023, we spread awareness of the importance of recent human rights issues and various human resource activities, and related precautions, with a focus on "Diversity, Equity, and Inclusion."



Human Rights Due Diligence

We perform Human Rights Due Diligence in the Fujitsu General Group as part of sustainability due diligence, which includes issues related to human rights, labor, health and safety, the environment, corporate ethics, and information security.

If the Group or any of its employees causes or promotes human rights violations in the course of its business activities, or if indirect effects through business relationships, etc. have become clear, or if they are not finalized, but it is suspected that there is a possibility of causing violations, we will correct and remedy it through dialogue and appropriate procedures.

Fujitsu General Group bases

In view of the danger of work at Fujitsu General Group manufacturing sites, we prioritize their assessment. In FY2023, we requested answers to self-assessment questionnaires and conducted on-site audits or online interviews of three manufacturing sites in Thailand and one production site in Japan. In assessments conducted in FY2023, we did not find any significant infringements of human rights, such as the requirements of international standards, but human rights issues were identified in part, including long working hours caused by the impact of busy periods and other factors.

Suppliers

In FY2023, we conducted new surveys of significant suppliers of Fujitsu General (Thailand) Co., Ltd., FGA (Thailand) Co., Ltd., and TCFG Compressor (Thailand) Co., Ltd., which are manufacturing sites of the Fujitsu General Group located in Thailand. These surveys covered 97 suppliers. We requested responses to self-assessment questionnaires from all applicable suppliers, and conducted on-site audits of four of those suppliers.

At Chinese manufacturing sites Fujitsu General (Shanghai) Co., Ltd. and Fujitsu General Central Air-Conditioner (WUXI) Co., Ltd., we also continued conducting surveys, including on-site audits, of all applicable suppliers, as in the previous year.

After on-site audits, we provided feedback to all suppliers concerning their scores and any issues identified. We also requested that suppliers make improvements concerning any issues identified.

Governance

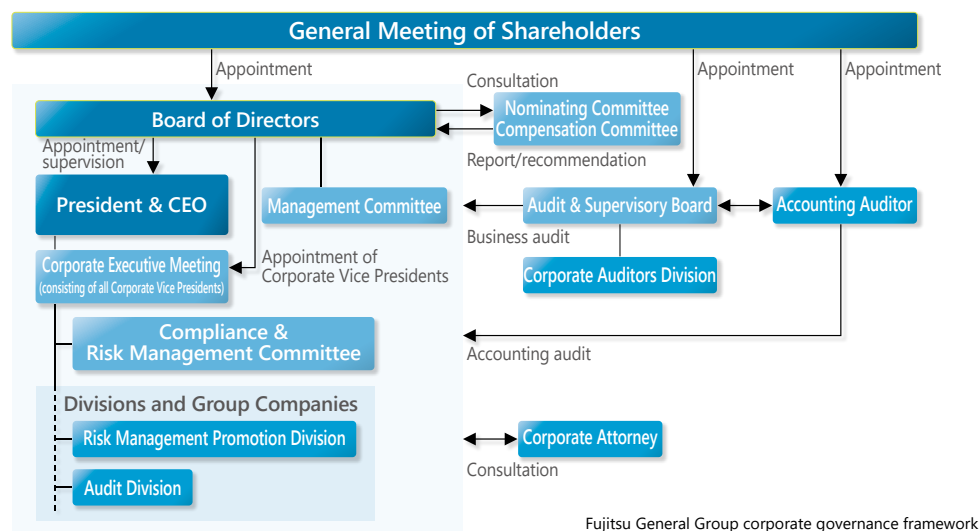
- 20. Corporate Governance
- 22. Executive Remuneration
- 23. Skill Matrix /
Oversight by the Board of Directors
- 24. Executive Members
- 26. Dialogue with Capital Markets
- 27. Compliance
- 28. Risk Management



Corporate Governance

Corporate governance framework

The Fujitsu General Group is a company with Audit & Supervisory Board Members and has adopted the Corporate Vice President (executive officer) system to enhance management's oversight function and enable efficient and agile business execution. The Auditors conduct audits and provide supervision from a standpoint independent of company management. We believe that this system is effective in terms of our meeting the tenets of our corporate governance program.



Role of the Board of Directors

The Board of Directors makes decisions on important matters related to the management of the Fujitsu General Group and important business execution as stipulated by laws and regulations and the Company's Articles of Incorporation. Matters requiring a resolution of the Board of Directors are clearly defined in the Board of Directors Regulations. For matters that do not require a resolution of the Board of Directors, internal rules (Executive Management Meeting Regulations, Executive Officer Meeting Regulations, Internal Approval Rules, etc.) establish criteria on the degree of importance of each matter for delegation to the Director or Corporate Vice Presidents in charge of the relevant business execution.

Our basic policy is to appoint a well-balanced Board of Directors from inside and outside the Company, consisting of members who have the knowledge, experience, and abilities necessary for the Company's business operations, taking into account diversity in terms of gender globalization, and other aspects. We believe that the current composition of the Board of Directors (9 Directors in total (including 5 External Directors, 1 of whom is a woman)) is appropriate.

Members of the Board of Directors

Chairperson	Fumiaki Terasaka, Director (Independent External Director)
Member	President: Koji Masuda
	Director: Mieko Kuwayama (Independent External Director),
	Director: Yoshio Osawa (Independent External Director),
	Director: Keiichi Nakajima (Independent External Director),
	Director: Ryuichi Kubota (External Director),
	Director: Tadashi Hasegawa,
	Director: Toshiyuki Kawanishi,
	Director: Susumu Ohkawara

Role of the Board of Auditors

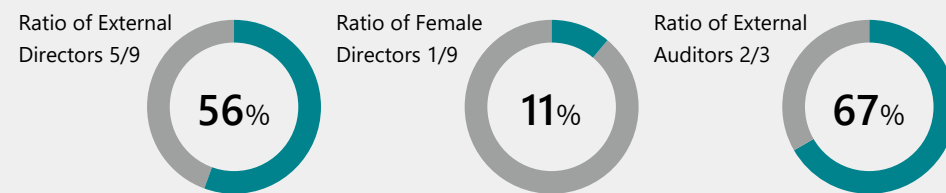
The Board of Auditors consists of three auditors (including two external auditors) and has established the Corporate Auditors Office (one person in charge) as an organization to assist them in their duties. The Audit & Supervisory Board meets monthly on the same day as the Board of Directors or on an ad hoc basis when necessary. The Audit & Supervisory Board Members attend the Board of Directors to audit proceedings and the content of resolutions, and express their opinion when deemed necessary. Furthermore, the Audit & Supervisory Board Member attends other important internal meetings or committees, such as the Executive Officer Meeting and the Compliance/ Risk Management Committee. We conducted on-site inspections of sites in Japan and overseas. We conducted audits of 20 sites this year (12 in Japan and 8 overseas).

Audit & Supervisory Board Members hold quarterly meetings with External Directors to share their views on issues identified through audits. Reports of Audit & Supervisory Board Members' activities are made to the Board of Auditors for proper sharing among Auditors. The Audit Division (nine members), a dedicated internal organization, conducts internal audits. The Audit Division regularly reports on the status of internal audits to the Board of Directors once a year.

Members of the Board of Auditors

Chairperson	Audit & Supervisory Board Member: Akira Inoue (External Auditor)
Member	Audit & Supervisory Board Member: Yoshinobu Miyajima,
	Auditor: Youichi Hirose (External Auditor)

Executive diversity



■ Summary of the analysis and assessment of the Board of Directors' overall effectiveness

In order to improve the effectiveness of corporate governance, the Company annually conducts an effectiveness assessment on the Board of Directors. The assessment details are, in principle, reported to the Board of Directors in May each year, and discussions are held to improve effectiveness.

An effectiveness assessment on the Board of Directors in FY2023 was conducted in the same way as last year, with all Directors responding to a questionnaire. In the results, the Board of Directors was assessed to be generally appropriate in terms of its operation and other areas, and we confirmed that the effectiveness of our Board of Directors is secured.

Furthermore, there were points for further improvement. These include the matters to be discussed by the Board of Directors, the need for more active discussions, the activities of the Nominating Committee and the Compensation Committee, and the provision and enhancement of training opportunities.

We have shared our recognition of these as issues that require further consideration. To address them, we are taking steps to enhance the effectiveness of the Board of Directors.

■ Role of the Nominating Committee and the Compensation Committee

Matters related to the nomination and remuneration of Directors and Corporate Vice Presidents shall be deliberated by the Nominating Committee and Compensation Committee, a majority of whose members are Independent External Directors, and which are chaired by Independent External Directors, and reported to the Board of Directors for deliberation and a decision.

The members of the committee are as follows. (As of June 18, 2024)

Nominating Committee	Chairperson	Director	Fumiaki Terasaka (Independent External Director)
	Members	Director	Mieko Kuwayama (Independent External Director)
		Director	Yoshio Osawa (Independent External Director)
		Director	Keiichi Nakajima (Independent External Director)
		President	Koji Masuda
Compensation Committee	Chairperson	Director	Yoshio Osawa (Independent External Director)
	Members	Director	Fumiaki Terasaka (Independent External Director)
		Director	Mieko Kuwayama (Independent External Director)
		Director	Keiichi Nakajima (Independent External Director)
		President	Koji Masuda

■ Selection and dismissal of executive management and nomination of Director and Auditor candidates

For internal Directors and Corporate Vice Presidents, the Company selects candidates that understand and embody the Corporate Philosophy of the Fujitsu General Group, excellent character and insight, specialist knowledge related to their operations, and the qualities to execute their duties from a company-wide perspective. The Company selects executive management candidates after comprehensively taking into consideration

factors such as their leadership and decision-making capabilities as a corporate leader, in addition to their qualities as a Director.

For External Directors, the Company selects candidates capable of fulfilling the function of supervising management from an external, independent position, and who can provide advice on the corporate activities of the Company based on their respective abundant experience and advanced insight.

For Auditors, the Company selects candidates with excellent character and insight, as well as deep knowledge of corporate management and the operations of the Company, or advanced expertise and abundant experience in fields such as accounting.

Furthermore, the nomination of Director and Corporate Vice President candidates and the selection and dismissal of executive management are deliberated by the Nominating Committee, a majority of whose members are Independent External Directors, and recommendations are made to the Board of Directors for deliberation and a decision. The nomination of Auditor candidates is deliberated and determined by the Board of Directors, with the consent of the Board of Auditors, after obtaining advice from Independent External Directors in advance. In addition, in the event of material misconduct or violation of laws, regulations and the Articles of Incorporation, in the event that a member of executive management is deemed not to be sufficiently performing his or her functions, based on assessments of corporate business performance, etc., or in other cases when there are circumstances under which it is deemed difficult for him or her to appropriately execute his or her duties, the Nominating Committee shall deliberate his or her dismissal.

■ Attendance of Directors at Board of Directors Meetings, Nominating Committee Meetings, and Compensation Committee Meetings (April 2023 to March 2024)

	Name	Attribute	Board of Directors	Nominating Committee	Compensation Committee	Board of Auditors
Director	Etsuro Saito		◎ 100% (14/ 14)	100% (7 / 7)		
	Hiroshi Niwayama		100% (14/ 14)		100% (3 / 3)	
	Hisashi Sakamaki	[External/Independent]	93% (13/ 14)	86% (6 / 7)	100% (3 / 3)	
	Fumiaki Terasaka	[External/Independent]	100% (14/ 14)	◎ 100% (7 / 7)	◎ 100% (3 / 3)	
	Mieko Kuwayama	[External/Independent]	100% (14/ 14)	100% (7 / 7)	100% (3 / 3)	
	Osami Maehara	[External/Independent]	100% (14/ 14)	100% (7 / 7)	100% (3 / 3)	
	Ryuichi Kubota*	[External]	100% (11/ 11)			
	Tsunenao Kosuda		100% (14/ 14)			
	Tadashi Hasegawa		100% (14/ 14)			
	Hiroyuki Yokoyama		93% (13/ 14)			
	Masaki Sugiyama		100% (14/ 14)			
Auditor	Akira Inoue	[External/Independent]	100% (14/ 14)			◎ 100% (14/ 14)
	Yoshinobu Miyajima		100% (14/ 14)			100% (14/ 14)
	Youichi Hirose	[External]	79% (11/ 14)			100% (14/ 14)

*The status of attendance for Ryuichi Kubota is since his appointment as Director *Results for FY2023, ◎ indicates the Chairperson

Executive Remuneration

■ Matters related to policies on determining the amount of compensation, etc. for Executives and the calculation method thereof

At a meeting of the Board of Directors held on April 27, 2022, Fujitsu General resolved to amend policies on determining the details of the individual remuneration, etc., for Directors, in accordance with the remuneration structure of the Company resolved at a meeting of the Compensation Committee.

□ Basic Policy

Fujitsu General's basic policy is to establish a highly transparent compensation system that enables the Group to bring on board superior human resources who will drive the sound and sustainable growth of the Fujitsu General Group while also further aligning business performance and shareholder value. Compensation consists of 1) "basic remuneration," which is paid in a fixed monthly amount based on job responsibilities and position; 2) "bonuses," which are linked to short-term performance; and 3) "restricted share-based remuneration," which is non-monetary remuneration that provides incentives for the sustained enhancement of corporate value and promotion of Sustainable Management. External Directors, who are responsible for supervisory functions, are paid only "basic remuneration" in consideration of their duties.

The policy for determining the content of individual director compensation stipulates the following items.

- Policies related to the determination of the amount of individual remuneration, etc., for basic remuneration (monetary remuneration) (including policies related to the determination of the timing or conditions for granting remuneration, etc.)
- Policies related to the determination of the amount of performance-linked remuneration, etc. (including policies related to the determination of the timing or conditions for granting remuneration, etc.)
- Policies related to the determination of the details of non-monetary remuneration, etc., and calculation method for the number thereof (including policies related to the determination of the timing or conditions for granting remuneration, etc.)
- Policies related to the determination of the ratio of the amount of monetary remuneration, amount of performance-linked remuneration, etc., or amount of non-monetary remuneration, etc., to the amount of individual remuneration, etc., for Directors
- Policy for determining the content of individual remuneration, etc., for Directors
- Policies related to the determination of the amount of individual remuneration, etc., for Corporate Auditors (including policies related to the determination of the timing or conditions for granting remuneration, etc.)
- Other

When determining the content of individual remuneration, etc., for Directors for FY2023, the Compensation Committee, a majority of whose members are Independent External Directors, verifies factors such as the validity of remuneration levels, utilizing objective data from external institutions, and engages in multi-faceted analysis, including consistency with the policy on such decisions. Accordingly, the Board of Directors fundamentally respects the report of the Compensation Committee, and has judged that the content of individual remuneration, etc., for Directors is consistent with the policy on such decisions.

□ Officer compensation plan

	Type	Payment format	KPI	Outline
Fixed remuneration (60-75%)	Basic remuneration	Cash	—	- Monthly fixed remuneration - Payment amounts are set in accordance with the responsibilities and positions of each Executive
Variable remuneration (25-40%)	Bonuses		Operating income	- Bonuses that reflect performance over a single fiscal year are paid at a certain time each year. The payment amount is determined in accordance with the level of achievement - The total payment amount is subject to approval at an Ordinary General Meeting of Shareholders
	Restricted share-based remuneration	Shares	Indicator of Sustainable Management	- The removal of transfer restrictions is subject to the achievement of indicator requirements *In FY2023, we used the following assessment indicators: net sales from sustainable products, ESG rating by MSCI (third-party assessment), and employee engagement index

■ Matters related to policies on determining the amount of compensation, etc. for Executives and the calculation method thereof

Executive category	Total Amount of Remuneration, etc. (Millions of Yen)	Total amount of each type of compensation, etc. (millions of yen)			Number of eligible executives
		Fixed remuneration (basic remuneration)	Performance-linked Remuneration (Bonuses)	Non-monetary Remuneration, etc. (restricted share-based remuneration)	
Directors (excluding External)	327	237	50	39	6
Auditor (excluding External)	28	28	—	—	1
External Executives	54	54	—	—	8



For the details of decision-making policies, please refer to the Fujitsu General website.
Corporate Governance
<https://www.fujitsu-general.com/jp/ir/corporate-governance/index.html>



Skill Matrix

Company's expectations for Directors and Auditors (as of June 18, 2024)

These are the important areas for the Company to promote "Sustainable Management" and its specific measures in the Medium-term Management Plan. In addition, the "Management of the Company's business" in the following areas expects to monitor and supervise the execution of business operations in line with the "Sustainable Management" and raise issues from a long-term perspective.

Name	Affiliation	Gender	Area of expertise the Corporate expects in particular								
			Management of the Corporate's business	Corporate Management	International business, Overseas operation / Globalization	Manufacturing, Technology / R&D	Sales, Marketing	ICT, DX	Finance, Accounting, M&A	Compliance, Risk management	Personnel Development, Organizational Invigoration, Diversity
Director											
Koji Masuda		Male	○	○	○		○	○		○	○
Fumiaki Terasaka	External/Independent	Male	○	○			○			○	○
Mieko Kuwayama	External/Independent	Female	○			○	○			○	○
Yoshio Osawa	External/Independent	Male	○	○	○		○	○		○	
Keiichi Nakajima	External/Independent	Male	○	○	○	○			○	○	
Ryuichi Kubota	External	Male	○	○				○	○	○	○
Tadashi Hasegawa		Male	○	○	○	○		○			○
Toshiyuki Kawanishi		Male	○	○	○		○	○		○	
Susumu Ohkawara		Male	○		○				○	○	○
Auditor											
Akira Inoue	External/Independent	Male			○				○	○	
Yoshinobu Miyajima		Male			○				○	○	
Youichi Hirose	External	Male						○	○	○	

* "○" is indicated in areas the Company expects, particularly in light of each individual's experience and current role. It is not indicative of all the insight and experience possessed by each individual.

Supervision of the board of directors

Board of Directors

The Board of Directors makes decisions on important matters related to management and important business execution as stipulated by laws and regulations and the Company's Articles of Incorporation. Matters requiring a resolution of the Board of Directors are clearly defined in the Board of Directors Regulations. In addition, for matters that do not require resolutions of the Board of Directors, internal rules (Executive Management Meeting Regulations, Executive Officer Meeting Regulations, Internal Approval Rules, etc.) establish criteria on the degree of importance of each matter for delegation to the Director or Corporate Vice Presidents in charge of the relevant business execution.

□ Main agenda items in FY2023

Main resolutions

- Accounts
- Budget proposals
- Executive personnel matters
- Executive remuneration and bonus payments
- Organizational change and personnel transfers
- Conflict of interest transactions
- M&A
- Medium- to long-term environmental target-setting
- Formulation of various policies related to sustainability

Main reports

- Monthly accounts
- Risk management promotion activity reports
- Internal audit reports
- Effectiveness assessment of the Board of Directors
- Necessity of holding cross-shareholdings
- Reports on progress of important lawsuits
- Core operational system overhauls

Executive Members [Directors] (as of June 18, 2024)



President
Koji Masuda

April 1984 Joined Fujitsu Limited
October 2014 Corporate Executive Officer, Head of ERP Solutions, Solutions Business Group, Fujitsu Systems West Limited
February 2015 Head of ASEAN Business Promotion Office, Fujitsu Limited
June 2016 Vice Head of Asia Region in charge of Delivery, Fujitsu Limited
April 2021 Corporate Executive Officer, Head of Asia Region, International Regions, Fujitsu Limited
April 2023 SVP, Vice Head of Asia Pacific Region in charge of Asia, Fujitsu Limited
April 2024 Corporate Senior Executive Vice President, the Company
June 2024 President & Chief Executive Officer, the Company (to present)



Director [External][Independent]
Yoshio Osawa

April 1975 Joined Sumitomo Corporation
April 2003 Corporate Officer, General Manager of Network Division, Sumitomo Corporation
April 2005 Executive Officer, Sumitomo Corporation
April 2008 Managing Executive Officer, Sumitomo Corporation
June 2008 Representative Director & Managing Executive Officer, Sumitomo Corporation
April 2011 Representative Director & Senior Managing Executive Officer, Sumitomo Corporation
June 2013 Representative Director, President & COO, SCSK Corporation
April 2016 Director & Chairman, SCSK Corporation
March 2018 External Director, Canon Marketing Japan Inc. (to present)
June 2019 External Director, Citizen Watch Co., Ltd. (to present)
June 2024 Director, the Company (to present)



Director
Tadashi Hasegawa

April 1988 Joined Fujikoki Corporation
April 1997 Joined the Company
April 2014 Director & Senior Vice General Manager, Fujitsu General Central Air-conditioner (Wuxi) Co., Ltd.
April 2015 Corporate Vice President, the Company
April 2017 Corporate Senior Vice President
June 2018 Director & Corporate Senior Vice President
April 2019 Director & Corporate First Senior Vice President
April 2020 Director & Corporate Executive Vice President
April 2024 Director & Corporate Senior Executive Vice President (to present)



Director [External][Independent]
Fumiaki Terasaka

April 1972 Joined Sapporo Breweries Limited (currently Sapporo Holdings Limited)
October 2002 Director, Kyushu Sales & Marketing Division, Sapporo Breweries Limited
March 2004 Operating Officer, Sapporo Breweries Limited (newly established company)
September 2004 Director and Managing Officer, Sapporo Breweries Limited
March 2005 Director and Executive Managing Officer, Sapporo Breweries Limited
March 2009 Executive Managing Officer, Sapporo Breweries Limited
March 2010 President and Representative Director, Sapporo Breweries Limited Member of the Board, Managing Director and Group Operating Officer, Sapporo Holdings Limited
March 2013 Senior Advisor, Sapporo Breweries Limited
March 2014 Advisor, Sapporo Breweries Limited
November 2015 External Audit & Supervisory Board Member, DAISYO CORPORATION (to present)
June 2017 Director, the Company (to present)
June 2017 External Director, Citizen Watch Co., Ltd.



Director [External][Independent]
Keiichi Nakajima

April 1982 Joined Citizen Watch Co., Ltd.
June 2008 President & Representative Director, Citizen Machinery Asia Co., Ltd.
June 2008 President & Representative Director, Citizen Machinery Vietnam Co., Ltd.
June 2008 Director, CITIZEN MACHINERY CO., LTD.
June 2010 Operating Officer, CITIZEN MACHINERY CO., LTD.
April 2012 Director & Operating Officer, CITIZEN MACHINERY MIYANO CO., LTD. (currently CITIZEN MACHINERY CO., LTD.)
April 2013 President and Representative Director, CITIZEN MACHINERY MIYANO CO., LTD.
June 2013 Director, Citizen Watch Co., Ltd. (resigned on June 25, 2024)
April 2024 Director & Advisor, CITIZEN MACHINERY CO., LTD.
June 2024 Director, the Company (to present)



Director
Toshiyuki Kawanishi

April 1991 Joined Fujitsu Limited
October 2017 Head of the 6th System Business of the first Manufacturing Industry Solutions Business Unit, Fujitsu Limited
April 2020 Corporate Executive Officer, Head of Manufacturing Industry Solutions Business Unit, Fujitsu Limited
April 2021 Corporate Executive Officer, Head of Manufacturing Business Unit, Global Solutions Business Enterprise Solution Business Group, Fujitsu Limited
April 2023 SVP, Head of Enterprise Business Unit, Global Customer Success Business Group, Fujitsu Limited
April 2024 Corporate Senior Executive Vice President
June 2024 Director & Corporate Senior Executive Vice President (to present)



Director [External][Independent]
Mieko Kuwayama

April 1970 Joined Shiseido Company, Limited
April 2004 General Manager, CSR Department, Shiseido Company, Limited
April 2008 Part-time Lecturer, Faculty of Economics, Komazawa University
April 2009 Senior Researcher, Business Ethics Research Center
June 2012 Specially Appointed Professor, Graduate School of Law, Hitotsubashi University
April 2015 Visiting Researcher, Research Center for CFO Education, Hitotsubashi University (to present)
April 2015 Visiting Researcher, Mission Management Research Institute, Meiji University
June 2017 Director, the Company (to present)
April 2018 Chief Researcher, Business Ethics Research Center (to present)
June 2018 External Director, HAZAMA ANDO CORPORATION (to present)



Director [External]
Ryuichi Kubota

April 1986 Joined Fujitsu Limited
April 2019 Corporate Executive Officer, Head of Business Management Unit, Technology Solutions Business, Fujitsu Limited
April 2021 Director & Corporate Senior Executive Vice President, PFU Ltd.
September 2022 Corporate Executive Officer, EVP, Fujitsu Limited (to present)
June 2023 Director, the Company (to present)



Director
Susumu Ohkawara

March 1981 Joined the Company
April 2005 General Manager, International Business Administration Division
April 2011 Corporate Vice President,
April 2015 Corporate Senior Vice President
April 2021 Corporate First Senior Vice President
April 2024 Corporate Executive Vice President
June 2024 Director & Corporate Executive Vice President (to present)

Executive Members [Auditor] (as of June 18, 2024)



Audit & Supervisory Board Member
[External][Independent]
Akira Inoue

April 1980 Joined The Dai-Ichi Kangyo Bank, Ltd. (now Mizuho Bank, Ltd.)
September 1999 Senior Vice President, Credit Audit Division
April 2002 Senior Vice President, Corporate Credit Assessment Division, Mizuho Corporate Bank, Ltd. (Currently Mizuho Bank, Ltd.)
October 2007 Deputy General Manager, Internal Audit Division
May 2008 General Manager, Internal Audit Division, Hokuetsu Paper Mills, Ltd. (Currently Hokuetsu Corporation) (Seconded)
June 2010 Senior Vice President, Corporate Banking Division No.8, Mizuho Corporate Bank, Ltd.
June 2010 Audit & Supervisory Board Member, the Company (to present)



Audit & Supervisory Board Member
Yoshinobu Miyajima

April 1981 Joined the Company
December 2009 General Manager, Air Conditioner Business Administration Division, and Deputy General Manager, Finance and Accounting Division
April 2010 Corporate Vice President
April 2014 Corporate Senior Vice President
April 2021 Adviser (to present)
June 2021 Audit & Supervisory Board Member, the Company (to present)



Auditor [External]
Youichi Hirose

April 1981 Joined Fujitsu Limited
June 2009 Vice President, Corporate Controller, Corporate Finance Unit, Fujitsu Limited
April 2012 Executive Vice President
May 2013 Corporate Vice President
April 2014 Head of Corporate Finance Unit
April 2017 Executive Advisor
June 2017 Audit & Supervisory Board Member (to present)
June 2018 Corporate Auditor, the Company (to present)

Corporate Vice Presidents and Other Management Officers (as of October 1, 2024)

◆ President

Koji Masuda Chief Executive Officer (CEO) / Chief Transformation Officer (CTrO) / Chief Sustainability Officer (CSuO)

◆ Corporate Senior Executive Vice President

Tadashi Hasegawa Head of Tech Solutions Business / TrO (Tech Solutions Business) / Chief Quality Officer (CQO) / Chief Technology Officer (CTO) / Head of Electronic Devices & Components Unit, Tech Solutions Business / President of Fujitsu General Electronics Limited / President of Fujitsu General Electronics (Suzhou) Co., Ltd.
Toshiyuki Kawanishi Head of Air Conditioner Business / TrO (Air Conditioning Business) / Head of Strategy and Planning Unit, Air Conditioner Business

◆ Corporate Executive Vice President

Susumu Ohkawara Chief Strategy Officer (CSO) / TrO (management foundations) / Chief Legal & Risk Management Officer (CL&RMO) / General Manager of Corporate Executive Office
Tadashi Arikado Chief Financial Officer (CFO) / TrO (business foundations) / Head of Finance & Accounting Unit
Hiroyuki Yokoyama Chief Supply Chain Officer (CSCO) / Head of Production Unit, Air Conditioner Business / Chief Information Officer (CIO)

◆ Corporate Senior Vice President

Junji Nakagawa Chief Human Resource Officer (CHRO) / TrO (human resources organization) / Head of Human Resources Unit
Kimihiro Shimizu Vice Head of Production Unit in charge of Thailand, Air Conditioner Business / Chairman of Fujitsu General (Thailand) Co., Ltd. / Chairman of FGA (Thailand) Co., Ltd. / Chairman of TCFG Compressor (Thailand) Co., Ltd.
Masataka Eto Vice Head of Production Unit in charge of China, Air Conditioner Business / President of Fujitsu General (Shanghai) Co., Ltd. / President & General Manager of Fujitsu General Central Air-Conditioner (WUXI) Co., Ltd. / President of F.G.L.S. Electric Co., Ltd.
Yosuke Nakagawa Head of Japan Business Unit, Air Conditioner Business
Atsushi Itagaki Head of Development Unit, Air Conditioner Business

◆ Corporate Vice President

Hiroyuki Sato Head of Quality Assurance Unit, Air Conditioner Business
Toshio Kano Assistant to CSO / Assistant to CSuO / General Manager of Corporate Communications Office
Shigeki Asai Head of Information & Communication System Business Unit, Tech Solutions Business
Yasushi Asanuma Head of International Business Unit, Air Conditioner Business / Chairman & CEO of Fujitsu General America, Inc. / Chairman of Fujitsu General South East Europe S.A.

◆ Fellow

Eiji Futagami Executive Architect of Development Unit, Air Conditioner Business / Assistant to CTO / President of Fujitsu General Laboratories Limited

■ Dialogue with Capital Markets

■ Policy regarding constructive dialogue with shareholders

A responsible Director oversees the Company's dialogue with shareholders, addressing such needs through collaboration, including the exchange of information as needed with the Corporate Communications Office and Finance & Accounting Unit.

In addition to providing information and conducting Q&A sessions at the general shareholders' meeting, we hold individual meetings with institutional investors within a reasonable scope. We also actively provide information, such as financial results, on our homepage to promote understanding of the Company's businesses among shareholders.

Executive management regularly receives feedback on the opinions of shareholders identified through dialogue, and reports are submitted to the Board of Directors as necessary.

When performing these activities the persons responsible for dialogue with shareholders appropriately engage in dialogue with shareholders, while complying with laws, regulations, and internal rules on matters such as insider information and confidential information handling.

■ Main IR activities and persons responsible

Item	Content	Main persons responsible
Results briefings for institutional investors and analysts	We hold online results briefings following the announcements of the second quarter and full-year results.	- President - CFO
Conferences	We participate in conferences for overseas investors held by securities companies.	- General Manager of Corporate Communications Office (Corporate Vice President)
Individual meetings with institutional investors and analysts	We hold meetings with institutional investors and analysts in Japan and overseas through online conferences (telephone, internet), visits, and receiving visits.	- General Manager of Corporate Communications Office (Corporate Vice President) - Head of Finance & Accounting Unit
Publication of IR materials online	We post materials including summaries of financial results, financial results briefing materials, materials for the General Meeting of Shareholders, the Annual Securities Report, the Medium-term Management Plan, the integrated report, and the Sustainability Data Book.	

■ Status of dialog with shareholders, etc. (FY2023)

Methods of dialog	Number of times implemented
Individual meetings with institutional investors and analysts (including conferences)	246
Conferences held by securities companies	2
Results briefings for institutional investors and analysts	2

■ The Company's General Meeting of Shareholders

The Fujitsu General Group considers the Company's General Meeting of Shareholders to be a valuable opportunity for communicating with shareholders. As a general rule, general shareholders' meetings are held while avoiding days when other companies tend to hold theirs, and the convocation notice is sent out approximately three weeks prior to the date of the meeting. In addition, to enable shareholders to exercise their voting rights appropriately and smoothly, we support the exercise of voting rights via the Internet, participation in an electronic voting platform for institutional investors, and provision of the convocation notice (narrowly defined convocation notice and reference document for a general meeting of shareholders) in English.



For information about the details information of the Shareholders General Meeting, please refer to the Fujitsu General website.
General Meeting of Shareholders
<https://www.fujitsu-general.com/global/ir/stock/shareholders/index.html>



Compliance

■ FUJITSU GENERAL Way

The Code of Conduct of the FUJITSU GENERAL Way, which sets forth specifics to be taken into account as the basis for compliance at the Fujitsu General Group, is posted on the company intranet as well as disseminated through training programs for officers and employees.

■ The Fujitsu General Group Code of Conduct

□ We respect human rights.

We respect each individual's human rights and will not discriminate on the basis of race, color, religion, creed, sex, age, social status, family origin, physical or mental disability or sexual orientation, nor will we commit other violations of human rights. Such discrimination will not be tolerated. We will make every endeavor to be fully aware of human rights issues and foster respect and equality for all.

□ We comply with all laws and regulations.

We respect and comply with all applicable laws, treaties, government regulations and statutes, customs and social norms considered to be fair. We also conform to socially accepted business practices, use common sense in our dealings, and are careful to check whether our commercial terms are in line with local requirements. Customs vary from country to country. Therefore, in addition to understanding the laws and customs of our home territory, we also will become familiar with and respect the laws, customs and ethnicities of other territories in which we do business.

□ We act with fairness in our business dealings.

We treat customers, business partners and competitors fairly and with respect. We do not engage in practices which treat customers differently without justification. We do not use our position to secure an unfair advantage in dealings with business partners. We do not take advantage of competitors through unethical behavior or illegal means.

□ We protect and respect intellectual property.

We respect third-party intellectual property and utilize it only after having properly secured rights to its use. We recognize that the knowledge and know-how held by each employee give us a competitive edge in our business activities. We are contributing to the establishment of a networked society by continuously creating new value and providing products and services on a global basis to meet customer needs.

□ We maintain confidentiality.

We must have a proper understanding of the rules for handling different types of information and thoroughly comply with those rules. In addition, we are conscious of the vital importance of data security in our daily work so as not to unintentionally leak confidential information or personal data.

□ We do not use our position in our organization for personal gain.

We do not use our position, role, or corporate information, or act in any way contrary to our corporate obligations, to seek or gain benefits for ourselves, our relatives, our friends or other third parties. We do not trade stocks or other securities using undisclosed "insider" information gathered from our organization or third parties.

■ Compliance training for employees

As part of our employee awareness-raising activities, we have conducted risk management training for managers. We also conduct e-learning training for persons subject to important laws and regulations relevant to each division's operations, such as the Anti-Monopoly Act, Security Export Control, and the Subcontract Act. In addition, We have conducted compliance training for all employees on a total of seven occasions. Other, We regularly send out e-mail newsletters to employees to raise awareness of compliance in general. Two e-learning training sessions have been conducted for CSR (excluding compliance).

Content	FY2023
Compliance training	7 times
CSR training (excluding compliance)	2 times

■ Anti-Bribery Policy

All members of the Fujitsu General Group follow the FUJITSU GENERAL Way of Code of Conduct principles of "We act with fairness in our business dealings" and "We do not use our position in our organization for personal gain." In further support of this, we have established the Anti-Bribery, Gift and Entertainment Guidelines to prevent bribery and maintain fair and equitable relationships with our business partners. Specifically, the provision of gifts or entertainment to public officers for the purpose of obtaining business favors is prohibited. In addition to prohibiting the giving of gifts or entertainment to persons other than public officers and other parties with the intention of inducing them to perform improper duties, it is also prohibited in principle to receive gifts or entertainment.

All officers and employees of the Company and its domestic affiliates are informed of the Policy through training each fiscal year and act in accordance with the said guidelines. Furthermore, each of our overseas bases complies with anti-bribery regulations established based on the content of these guidelines and local laws and customs, and we conduct training to spread awareness and ensure compliance each fiscal year.

■ Policy on political contributions and donations

When making political contributions or donations to various organizations and other entities, we will follow the laws and regulations established by each country. In addition, we will do so only after obtaining approval in accordance with internal rules and regulations.

■ Preventing insider trading

Based on the FUJITSU GENERAL Way's Code of Conduct principles of "We comply with all laws and regulations" and "We maintain confidentiality," the Fujitsu General Group has established the Regulations for the Prevention of Insider Trading to ensure the prevention of insider trading to fulfill its corporate social responsibility. As an example, employees are required to make prior notification when buying, selling, or otherwise trading the Company's specified securities. In addition, we provide internal training to our employees covering the subject of insider trading to ensure compliance with laws and regulations, and acquaint them with our internal rules regarding the proper handling of insider and confidential information.



An image of internal education related to insider trading

Risk Management

■ Risk Management System

To promptly identify risks that may adversely affect the Fujitsu General Group, whether at home or overseas, and to implement countermeasures in a timely manner, risk assessments are conducted to confirm the appropriateness of the evaluation and management of risk by each division of the Company as well as Group companies. The Compliance & Risk Management Committee, organized every quarter, selects priority issues to be addressed while promoting activities to reduce risk.

■ Risk management

The Code of Conduct of the Fujitsu General Way, which sets forth specifics to be taken into account as the basis for compliance at the Fujitsu General Group, is posted on the company intranet and also disseminated through training programs for executives and employees.

As part of our employee awareness-raising activities, we conduct training on the essentials of risk management for managers who are responsible for on-site risk management and internal controls. We also conduct training on important laws and regulations relevant to each division's operations, such as the Anti-Monopoly Act, insider trading regulations, and the Subcontract Act, as well as the like business and human rights and information leak prevention. We also regularly send out e-mail newsletters to employees to raise awareness of compliance in general.

■ Risk assessment

Each of Fujitsu General's divisions and Group companies conducts risk assessment to evaluate risks that are considered to have a significant impact if they are actualized and consider risk reduction measures.

Specifically, from the perspective of compliance, we have identified risks that may arise from the status of compliance with various laws and regulations such as labor laws, anti-monopoly laws, bribery regulations, and environmental regulations applicable to our company, as well as risks that may arise from business activities such as product quality, IT security, natural disasters, and internal fraud. The Compliance & Risk Management Committee selects important themes that should be prioritized from a corporate perspective based on the degree of impact and the level of controls and promotes risk mitigation activities.

■ Internal reporting system "Corporate Ethics Helpline" and "Supplier Report Contact"

The Fujitsu General Group has established the "Corporate Ethics Helpline" system, which ensures the protection of whistleblowers, as a means of directly reporting compliance issues in addition to normal business reporting channels for employees of sites in Japan. Through the use of this system, compliance issues are detected at an early stage and appropriate measures are taken. The Corporate Ethics Helpline also covers reporting of internal fraud, bribery, and other violations of laws and regulations, violations of internal rules, unethical acts, human rights problems, and other matters. We have also developed similar systems at each overseas site. In addition, we have established and put into operation the "Supplier Report Contact" as a reporting contact point for domestic suppliers. As with the Corporate Ethics Helpline, this hotline ensures the protection of whistleblowers, while working to quickly discover and appropriately respond to compliance violations, etc., in procurement activities.

■ Information security

We have formulated an Information Security Policy and disclosed this policy both internally and externally in order to provide products and services that are trusted by society through the implementation of appropriate and advanced security measures.

We provide education related to information security to employees of the entire Group every year, and also hold annual drills to practice dealing with suspicious emails.

■ Business continuity management

The Fujitsu General Group has formulated a Business Continuity Plan (BCP) for the purpose of ensuring the safety of employees and their families while continuing and operating its business in the event of an unplanned disruption or large-scale natural disaster. Disasters include, but are not limited to, a major earthquake or the spread of new infectious diseases. In order to ensure the effectiveness of the BCP, our Group regularly conducts awareness-raising activities and BCP drills covering important business operations.

■ Disaster initial response training

Every year, we conduct initial response drills to prepare for events such as an inland earthquake in Tokyo or a Nankai Trough earthquake. In addition to the Human Resources Division, General Affairs Division, and IT Division, the divisions responsible for the business continuity of critical business operations all participate.

Data

30. Financial Highlights

31. Non-financial Highlights /
Main External Recognition

32. Ten-Year Financial Summary

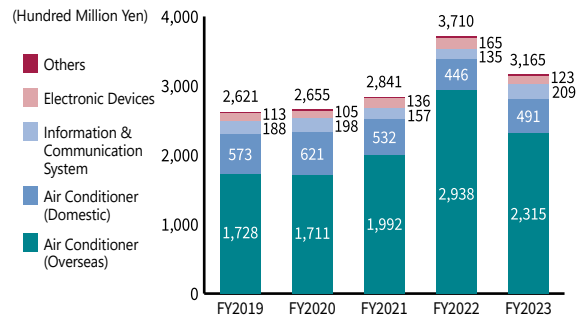
33. Corporate Profile / Group Profile

34. Stock Information



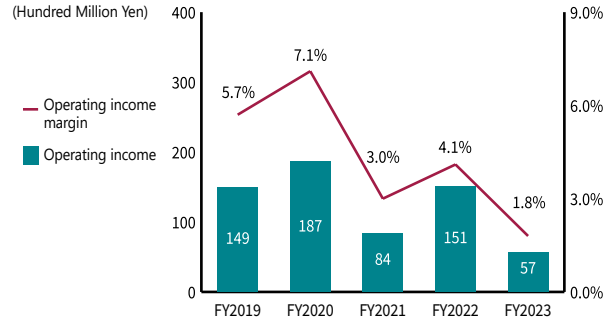
Financial Highlights

Net sales



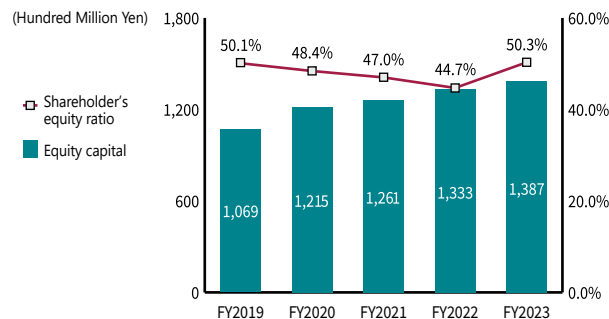
In FY2023 (April 1, 2023, to March 31, 2024), Air Conditioner to the Japanese market and Information & Communication System net sales increased, but Air Conditioner sales to overseas markets decreased significantly. As a result, consolidated net sales amounted to 3,165 hundred million yen (-14.7% YoY).

Operating income and operating income margin



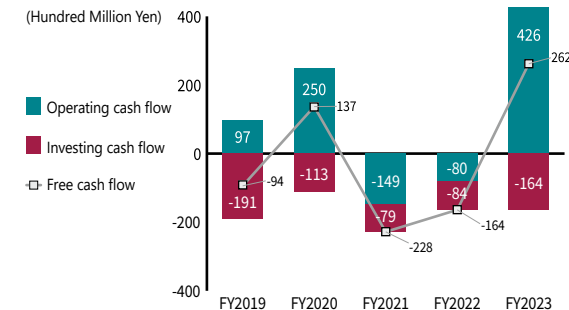
With regard to profits in FY2023, despite an improvement in the cost environment, including the progression of cost reductions and a decrease in material prices, performance was significantly impacted by lower sales from restrictions on Air Conditioner shipments to overseas markets aimed at lowering dealer inventories. As a result, operating income amounted to 5,747 million yen (-61.9% YoY).

Equity capital and shareholder's equity ratio



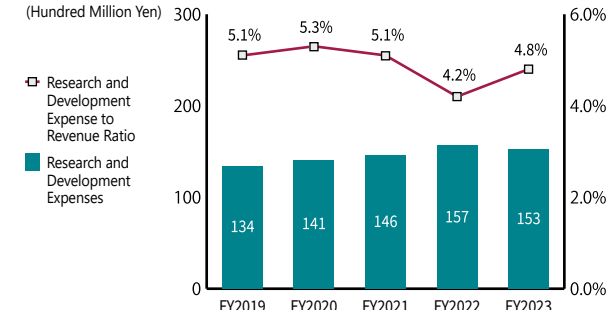
In FY2023, equity capital increased 54 hundred million yen compared with the end of the previous fiscal year to 1,387 hundred million yen, as a result of factors such as an increase in foreign currency translation adjustment. The shareholder's equity ratio increased by 5.6ppt compared with the end of the previous fiscal year, to 50.3%.

Operating cash flow, investing cash flow, free cash flow



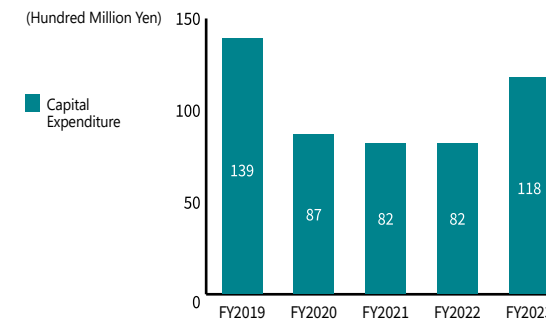
The Company recorded a positive free cash flow of 262 hundred million yen in FY2023, partly thanks to net cash provided by operating activities as a result of improvements to working capital in line with inventory reductions, etc., the recording of profit before income taxes, and depreciation expenses, and other factors.

R&D expenses and R&D expenses as a proportion of net sales



In FY2023, in response to needs in each region, environmental regulations, and other market requirements, the Company enhanced its lineup of products in each region, such as cooling-only VRF (multi air conditioners for large buildings) for the Indian market, while also standardizing designs, etc. As a result, R&D expenses amounted to 153 hundred million yen, equivalent to 4.8% of net sales.

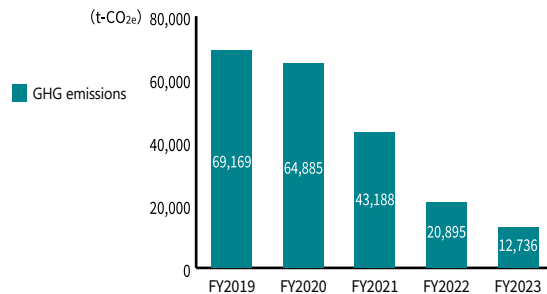
Capital expenditures



In FY2023, the Company made capital investments of 118 hundred million yen (+43.6% YoY, including the acquisition of leased assets and investments in software, etc.), focused mainly on development and production facilities for future business expansion and IT-related investment associated with core system updates, etc.

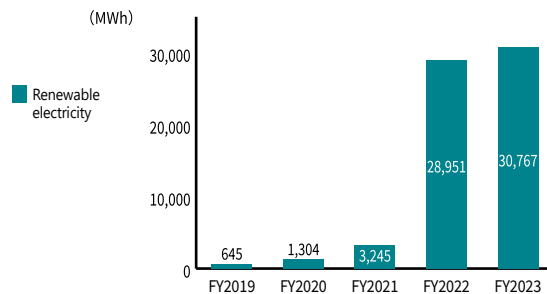
Non-financial Highlights

Greenhouse gas (GHG) emissions from business activities



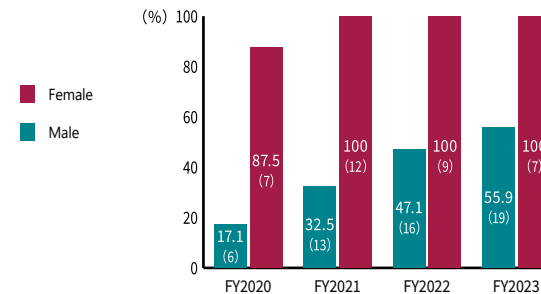
We aim to achieve net zero GHG emissions from business activities across the Fujitsu General Group as a whole by FY2050. In FY2023, we reduced GHG emissions by approximately 71% compared with FY2021 by expanding the use of renewable energy, countermeasures against energy loss, and the further deployment of effective examples of these measures.

Usage of electricity derived volume from renewable energy sources



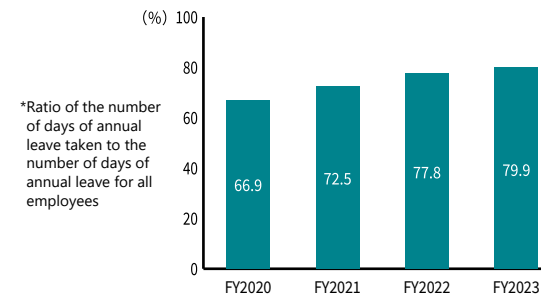
In FY2022, we made a full-scale switch to electricity generated from renewable energy for electricity used in all sites in Japan, resulting in a significant increase in the usage of electricity generated from renewable energy. Furthermore, in FY2023, we added new capacity to solar power generation systems at our Matsubara Office in Japan and Fujitsu General (Thailand) Co., Ltd. overseas.

Childcare leave take-up rate (Standalone)



As part of our efforts to create an environment where diverse human resources can actively participate, we support the balance of work and childcare by promoting the taking of childcare leave, including among male employees. To ensure that employees who wish to take leave are able to take it in accordance with their wishes, the employees themselves, their managers, and the Human Resources Division all communicate to support trouble-free leave taking.

Annual leave take-up rate (Standalone)



*Ratio of the number of days of annual leave taken to the number of days of annual leave for all employees

We promote the planned take-up of annual leave, to ensure appropriate working hours and implement well-balanced workstyles through the planned taking of leave. To facilitate mental and physical refreshment and enhance motivation toward work, we have developed an environment where it is easy for employees to take leave, including implementing measures for taking leave on days connected to non-working days.

Main external recognition

1. Selected as a constituent of "SOMPO Sustainability Index"
2. Selected as a "FTSE Blossom Japan Sector Relative Index"
3. Selected as a constituent of "S&P/JPX Carbon Efficient Index"
4. Recognized as the "2024 Certified KENKO Investment for Health Outstanding Organizations Recognition Program"
5. Acquired the next-generation certification mark "Kurumin"



6. Accredited as "Sports Yell Company 2024 Bronze"
7. Received "Gan-Ally-Bu Award 2024 (Gold)"
8. Acquired the Certification system for excellent employers regarding employment of persons with disabilities, "Monisu"
9. Registered as a "CHO Concept Promotion Office" in Kanagawa Prefecture



Ten-Year Financial Summary

Financial Data	(Unit)	FY2014	FY2015	FY2016
Net sales	(millions of yen)	274,807	280,977	260,054
Operating income	(millions of yen)	27,140	27,521	26,490
Operating income margin	(%)	9.9	9.8	10.2
Ordinary income	(millions of yen)	27,860	25,889	23,960
Profit attributable to owners of parent	(millions of yen)	17,809	17,531	10,031
Comprehensive income	(millions of yen)	23,455	13,143	10,513
Total net assets	(millions of yen)	76,638	87,350	95,694
Total assets	(millions of yen)	190,522	181,082	193,949
Net cash provided by (used in) operating activities	(millions of yen)	24,066	23,207	26,799
Net cash provided by (used in) investing activities	(millions of yen)	-4,676	-6,830	-4,923
Free cash flow	(millions of yen)	19,389	16,377	21,875
Net cash provided by (used in) financing activities	(millions of yen)	-15,472	-3,311	-2,891
Cash and cash equivalents at end of period	(millions of yen)	9,136	21,604	40,789
Amount per share				
Earnings per share (EPS)	(Yen)	170.19	167.55	95.88
Net assets per share (BPS)	(Yen)	710.16	812.56	886.89
Dividend per share	(Yen)	18.00	20.00	22.00
Key Indicators, etc.				
R&D expenses	(millions of yen)	11,549	12,374	12,102
R&D expense ratio	(%)	4.2	4.4	4.7
Capital expenditures	(millions of yen)	7,148	5,037	5,538
Depreciation expenses	(millions of yen)	3,876	4,556	5,382
Shareholder's equity ratio	(%)	39.0	47.0	47.8
Return on equity (ROE)	(%)	27.9	22.0	11.3
Return on assets (ROA)	(%)	10.1	9.4	5.3
Net D/E ratio	(Times)	-0.11	-0.25	-0.44
Cash conversion cycle*	(Days)	82.0	81.8	74.5
Days inventory outstanding	(Days)	31.6	31.1	31.7
Inventories	(millions of yen)	21,833	20,044	23,355
Dividend payout ratio	(%)	10.6	11.9	22.9
Price earnings ratio (PER)	(Times)	9.3	10.4	22.9

*1 Cash conversion cycle (CCC): Days' sales in accounts receivable + Days' sales in inventory - Days' sales in accounts payable



For details, please refer to the Annual Securities Report.
 IR Library > Annual Securities Reports (in Japanese)
https://www.fujitsu-general.com/jp/ir/library/sec_report/index.html



FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023
262,340	252,667	262,117	265,452	284,128	371,019	316,476
20,207	14,589	14,941	18,737	8,444	15,098	5,747
7.7	5.8	5.7	7.1	3.0	4.1	1.8
18,543	14,116	13,683	20,537	11,402	17,432	14,375
12,854	8,892	5,765	13,008	3,722	8,694	3,067
14,879	8,171	752	19,921	9,616	11,744	10,703
107,722	113,122	110,711	126,085	131,454	139,570	146,579
210,403	215,784	213,250	251,378	268,633	298,390	275,634
10,894	8,513	9,724	25,001	-14,945	-8,043	42,624
-5,862	-12,515	-19,141	-11,267	-7,871	-8,423	-16,429
5,032	-4,002	-9,416	13,733	-22,817	-16,466	26,195
-2,936	-3,172	2,090	-5,825	-971	19,316	-25,077
42,710	35,412	27,571	36,707	14,202	17,391	19,715
122.86	84.99	55.11	124.32	35.57	83.04	29.29
998.94	1,046.46	1,021.74	1,161.61	1,205.43	1,272.80	1,324.12
24.00	26.00	28.00	30.00	32.00	34.00	36.00
12,874	12,986	13,425	14,133	14,582	15,704	15,269
4.9	5.1	5.1	5.3	5.1	4.2	4.8
6,358	8,378	13,939	8,729	8,201	8,217	11,799
5,062	5,280	5,848	6,124	6,825	7,582	8,487
49.7	50.7	50.1	48.4	47.0	44.7	50.3
13.0	8.3	5.3	11.4	3.0	6.7	2.3
6.4	4.2	2.7	5.6	1.4	3.1	1.1
-0.41	-0.32	-0.21	-0.26	-0.04	0.12	-0.04
74.5	87.4	91.9	91.3	99.3	108.8	136.9
37.8	42.8	45.9	52.2	70.6	73.5	82.9
27,930	26,703	32,979	44,479	73,037	72,760	55,886
19.5	30.6	50.8	24.1	90.0	40.9	122.9
15.5	18.4	35.4	24.8	67.2	45.0	64.3

Corporate Profile

FUJITSU GENERAL LIMITED

□ Headquarters:

3-3-17 Suenaga, Takatsu-ku, Kawasaki-shi, Kanagawa, Japan

Tel. +81-44-866-1111 (Main phone number)

Web: www.fujitsu-general.com/jp/



□ Representative:

Koji Masuda

President & CEO (from June 18, 2024)

□ Established: January 15, 1936

□ Capital stock: 18,260 million yen (as of July 25, 2024)

□ Number of employees:

Fujitsu General Group: 8,765

Fujitsu General Limited: 1,734

□ Number of Directors (as of June 18, 2024):

9 (including 5 External Directors)

□ Number of consolidated subsidiaries: 44

Number of affiliates accounted for by the equity method: 2

□ Stock exchange listing: The Prime Market of the Tokyo Stock Exchange

*As of March 31, 2024, unless otherwise stated



Group Profile

■ Air Conditioners

□ Manufacturing and Development Subsidiaries

Fujitsu General (Thailand) Co., Ltd.

FGA (Thailand) Co., Ltd.

TCFG Compressor (Thailand) Co., Ltd.

Fujitsu General Air Conditioning R&D (Thailand) Co., Ltd.

Fujitsu General (Shanghai) Co., Ltd.

Fujitsu General Central Air-Conditioner (WUXI) Co., Ltd.

F.G.L.S. Electric Co., Ltd.

FGAHP

1 other subsidiary

□ Sales Subsidiaries

Fujitsu General America, Inc.

Fujitsu General do Brasil Ltda.

Fujitsu General Air Conditioning (UK) Ltd.

Fujitsu General (Euro) GmbH

Fujitsu General (Italia) S.p.A.

Fujitsu General South East Europe S.A.

Kløver Vest Holding AS

Fujitsu General (Middle East) Fze

Fujitsu General (India) Private Ltd.

Fujitsu General (Aust.) Pty Ltd.

Fujitsu General New Zealand Ltd.

Fujitsu General (Taiwan) Co., Ltd.

5 other subsidiaries

□ Design & Construction and Service-Maintenance Subsidiaries

ABS Fujitsu General Private Ltd.

Precise Air Group (Holdings) Pty Ltd.

7 other subsidiaries

■ Information & Communication System and Electronic Devices

Fujitsu General Electronics Limited

Fujitsu General OS Technology Limited

1 other subsidiary

■ Other Subsidiaries

Fuji Eco Cycle Co., Ltd.

Fujitsu General EMC Laboratory Limited 3 other subsidiaries

4 other subsidiary

Stock Information (as of March 31, 2024)

Stock-related information

FUJITSU GENERAL LIMITED

Listed stock exchange:
- The Prime Market of the Tokyo Stock Exchange

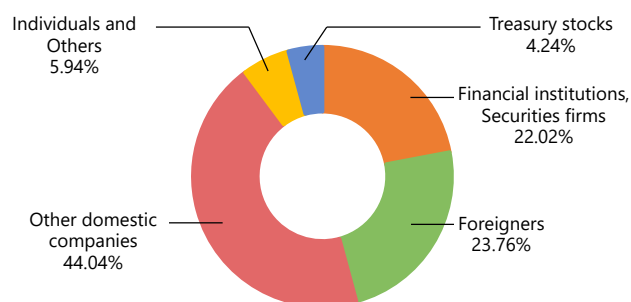
Stock Code: 6755

Number of shares:
- Number of shares authorized: 200,000,000

- Number of shares issued: 109,368,914

Number of shareholders: 9,276

Capital stock: 18,219 million yen



Major Shareholders

	Number of Shares Held (thousands)	Shareholding Ratio (%)
Fujitsu Ltd.	46,121	44.03
The Master Trust Bank of Japan, Ltd. (Trust Account)	7,514	7.17
Custody Bank of Japan, Ltd. (Trust Account)	2,735	2.61
Goldman Sachs International	2,182	2.08
Morgan Stanley MUFG Securities Co., Ltd.	2,180	2.08
JP JPMSE LUX RE CITIGROUP GLOBAL MARKETS L EQ CO	2,078	1.98
Mizuho Bank, Ltd.	2,000	1.91
JPMorgan Securities Japan Co., Ltd.	1,912	1.83
MSIP CLIENT SECURITIES	1,694	1.62
OASIS JAPAN STRATEGIC FUND LTD.	1,650	1.58

* In addition to the above, FUJITSU GENERAL retains 4,631 thousand shares of treasury stock. Shareholding ratios are calculated after deducting treasury stock.

Record high / Dividend / Dividend payout ratio

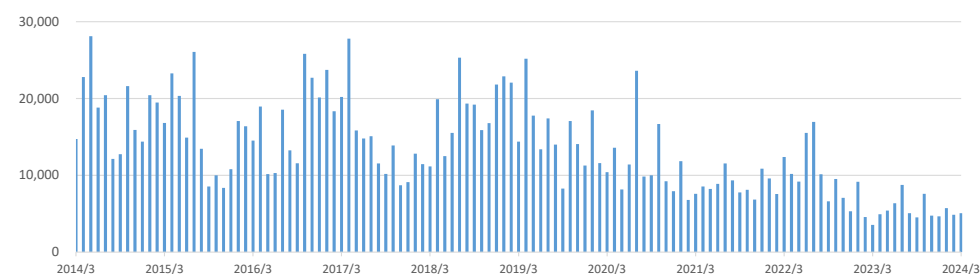
	(Unit)	FY2014	FY2015	FY2016
Record high	(Yen)	1,604	1,827	2,720
Dividend per share	(Yen)	18.00	20.00	22.00
Dividend payout ratio	(%)	10.6	11.9	22.9

Share price and volume

Share price (yen)



Trading volume (Thousands of shares)



FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023
2,669	2,023	2,618	3,315	3,155	3,925	4,005
24.00	26.00	28.00	30.00	32.00	34.00	36.00
19.5	30.6	50.8	24.1	90.0	40.9	122.9